

Question #1 of 180

Question ID: 1420210

A professional organization *most appropriately* enforces upon its members:

- A) legal standards only. 
- B) ethical standards only. 
- C) both legal and ethical standards. 

Explanation

Professional organizations adopt codes of ethics that govern their members' behavior. Legal standards are enforced by governments or regulatory agencies.

For Further Reference:

(Study Session 19, Module 56.1, LOS 56.f)

CFA[®] Program Curriculum, Volume 6, page 265

Question #2 of 180

Question ID: 1420229

Moe Girard, CFA, works in a large group that decides on recommendations by consensus. Girard does not always agree with the group consensus, but he is confident in the group's analytical ability. To comply with the Code and Standards when the group issues a recommendation with which he disagrees, Girard:

- A) does not need to take any action. 
- B) must request that his name be removed from the group's report. 
- C) should include his independent opinion as an appendix to the group's report. 

Explanation

Standard V(A) Diligence and Reasonable Basis does not require a Member to dissociate from a group recommendation, as long as the opinion has a reasonable and adequate basis.

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA[®] Program Curriculum, Volume 6, page 305, 310, and 312

Question #3 of 180

Question ID: 1420235

Thomas Baker recently passed the Level III CFA examination. Baker is reviewing a draft of the firm's marketing material to be distributed after he receives his CFA charter. One passage reads, "Baker passed all three Levels of the CFA exam on his first attempts in three consecutive years." Is this statement in compliance with CFA Institute Standards?

- A)** Yes, as long as it is a statement of fact. 
- B)** No, because it implies that Baker has superior ability. 
- C)** No, because Members or Candidates who passed the exams on their first attempts may not differentiate themselves from those who did not. 

Explanation

Stating that Baker passed the exams in consecutive years is acceptable, if in fact he did so, according to Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program.

For Further Reference:

(Study Session 19, Module 58.9, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #4 of 180

Question ID: 1420211

Jimmy Deininger, CFA, manages several client portfolios. One of his clients offers him use of a cabin in a vacation spot because the client's investment results under Deininger's management have exceeded the client's goals. Deininger discloses the gift to his employer. With reference to the Standards of Practice, Deininger:

- A)** has complied with the Standards and may accept the gift. 
- B)** is not permitted to accept the gift because he does not have permission from his employer. 
- C)** has appropriately disclosed the gift to his supervisor, but must also disclose it to his other clients. 

Explanation

Gifts from a client are distinguished from gifts from entities attempting to influence the portfolio manager's behavior, such as a broker. Deininger has complied with Standard I(B) Independence and Objectivity because he disclosed the gift from the client to his employer. This requirement is in place so that the employer can monitor the situation to guard against any favoritism towards the gift-giving client. The Standards do not require disclosing this gift to other clients. Permission would be required if the client's gift was to be based on future account performance.

For Further Reference:

(Study Session 19, Module 58.1, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #5 of 180

Question ID: 1420231

Carlos Mendez, CFA, is beginning an investment advisory relationship with a new client and plans to formulate an investment policy statement (IPS) for the client. According to the Standard concerning suitability, Mendez is *least likely* to consider the client's:

A) regulatory and legal circumstances.



B) conflicts of interest.



C) performance measurement benchmarks.



Explanation

Under Standard III(C) Suitability, the investment advisor should consider the following in writing an investment policy statement (IPS) for each client: (1) client identification (type and nature of clients, existence of separate beneficiaries, and approximate portion of total client assets); (2) investment objectives (return objectives and risk tolerance); (3) investor constraints (liquidity needs, time horizon, tax considerations, legal and regulatory circumstances, unique needs and preferences); and (4) performance measurement benchmarks. Standard VI(A) Disclosure of Conflicts requires that members and candidates disclose all potential areas of conflict to clients, but this disclosure is not part of a client's IPS.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #6 of 180

Question ID: 1420237

With regard to performance measurement, the Global Investment Performance Standards for firms:

- A) require time-weighted rates of return. 
- B) require money-weighted rates of return. 
- C) permit both time-weighted and money-weighted rates of return. 

Explanation

Sections 4 and 6 of the GIPS standards for firms specify requirements when using time-weighted rates of return, and Sections 5 and 7 specify requirements when using money-weighted rates of return.

For Further Reference:

(Study Session 19, Module 59.1, LOS 59.b)

CFA® Program Curriculum, Volume 6, page 492

Question #7 of 180

Question ID: 1420213

Telling potential investors that a short-term U.S. Treasury fund contains "guaranteed" securities:

- A) does not violate any Standard. 
- B) violates the Standards by misrepresenting the securities in the fund. 
- C) violates the Standards by failing to consider the suitability of the fund for potential investors. 

Explanation

Standard I(C) Misrepresentation does not prohibit members and candidates from making truthful statements that some investments, such as U.S. Treasury securities, are guaranteed in one way or another. Suitability does not become a concern until the potential clients take investment action.

For Further Reference:

(Study Session 19, Module 58.2, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #8 of 180

Question ID: 1420219

A portfolio manager of a city's police pension fund owes his duty of loyalty to the:

- A) city's taxpayers. 
- B) pension trustees. 
- C) plan beneficiaries. 

Explanation

When managing a pension plan or trust, the manager owes his duty of loyalty to the ultimate beneficiaries, not the person or entity that hired the manager.

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA[®] Program Curriculum, Volume 6, page 305, 310, and 312

Question #9 of 180

Question ID: 1420216

Riley and Smith, a broker-dealer, is bringing to market a secondary offering for All Pro Company. One of the reasons All Pro selected the firm to lead the offering is because Riley and Smith has been a market maker for All Pro's stock for the past five years. The firm is in possession of material nonpublic information relevant to All Pro's offering. To be in compliance with the Code and Standards, Riley and Smith:

- A) may not serve as underwriter for the same stock in which it acts as a market maker. 
- B) should continue to serve as market maker but take only the contra side of unsolicited customer trades. 
- C) should abstain from making a market in All Pro stock during the offering period but may resume market making activities after the offering. 

Explanation

The firm should continue making a market but should only carry out unsolicited transactions for clients. A complete withdrawal from market-making activities could be a signal to outsiders that a significant transaction is underway.

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA[®] Program Curriculum, Volume 6, page 305, 310, and 312

Question #10 of 180

Question ID: 1420220

Matt O'Neill, CFA, is an advisor for Century Investments, a retail financial services firm. Century has a firmwide policy that its advisors recommend the firm's own investment products to clients unless Century does not offer a product suitable for the client's needs. Can O'Neill follow his firm's policy without violating the Code and Standards?

- A) Yes, if O'Neill discloses this policy to his clients. 
- B) Yes, if his firm's offerings are competitive with other available products. 
- C) No, because the policy conflicts with the Standard on loyalty, prudence, and care. 

Explanation

Standard III(A) Loyalty, Prudence, and Care states that members and candidates must inform clients of any limitations that affect their advisory relationships. A policy to favor recommending a firm's own products is an example of such a limitation.

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #11 of 180

Question ID: 1420232

Wayne Sergeant, CFA, is an independent investment advisor who works with individuals. A longtime client asks Sergeant if he can recommend an attorney. Sergeant refers his client to Jim Chapman, a local attorney who is also a friend of Sergeant's. Previously, Chapman had agreed to perform some legal work for Sergeant in exchange for the referral of new clients. Do Sergeant's actions violate CFA Institute Standards of Professional Conduct?

- A) No, because the client is under no obligation and is still free to select another attorney. 
- B) Yes, because Sergeant is making a recommendation that is not independent and objective. 
- C) Yes, because Sergeant did not disclose the nature of his arrangement with Chapman to his client. 

Explanation

Standard VI(C) Disclosure of Conflicts requires members to disclose to their clients any compensation or benefit received by, or paid to, others for the recommendation of services. Sergeant's failure to disclose that he receives legal services for his referral of clients to Chapman is in violation of the Standards.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #12 of 180

Question ID: 1420238

Which of the following statements is *most accurate* regarding the GIPS requirement for definition of the firm?

- A) The firm must be the distinct business entity held out to clients. 
- B) If a firm has offices in different geographical locations, the firm definition may include just the primary location where all the investment decisions are made. 
- C) The firm definition may include the corporation or a subsidiary of the corporation, but the firm cannot be defined as simply a "division" of the corporation. 

Explanation

The GIPS-compliant firm definition must be the corporation, subsidiary, or division that holds itself out to the client as a specific business entity. If the firm has different geographic locations, this firm definition should include all the locations.

For Further Reference:

(Study Session 19, Module 59.1, LOS 59.d)

CFA® Program Curriculum, Volume 6, page 494

Question #13 of 180

Question ID: 1420225

Ron Brenner, CFA, manages portfolios for individuals. One of his clients, John Perlman, offers Brenner several inducements above those provided by his employer to motivate superior future performance in managing his portfolio. Brenner notifies his manager via e-mail about the terms of this offer, and his employer grants permission. According to the Standard on additional compensation arrangements, Brenner:

- A) must notify "all parties involved," which includes his other clients. 
- B) has taken all the actions required to accept the arrangement. 
- C) should decline this arrangement because it could cause partiality in the handling of other client accounts. 

Explanation

Brenner's actions comply with the conditions specified in Standard IV(B) Additional Compensation Arrangements. He notified his employer in writing (e-mail is acceptable) of the terms and conditions of additional compensation arrangement and received permission from his employer. Loyalties to other clients may be affected, but it is the employer's duty to determine this. Nothing in the Standard specifies that "all parties involved" includes other clients.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #14 of 180

Question ID: 1420226

Denise Chavez, CFA, is the senior energy analyst for a major brokerage firm. Chavez is also a social and environmental activist, and is opposed to coal-fired power plants. She has been arrested twice for trespassing during organized pickets at some of these power plants. Chavez has recently accepted a volunteer position as Board member of Greensleeves, a foundation that lobbies governments on environmental issues. The position will involve significant volunteer hours, including some travel. Are Chavez's activities consistent with CFA Institute Standards?

- A) Chavez violated the Standards by being arrested, but the volunteer Board position is not a violation. 
- B) The environmental activism is not a violation, but the Standards prohibit Chavez from accepting the Board position. 
- C) The activism and subsequent arrests are not a violation, but Chavez must disclose the Board position to her employer. 

Explanation

Although Chavez was arrested, Standard I(D) Misconduct is not intended to cover acts of "civil disobedience." Standard IV(A) Loyalty, Chavez has a duty of loyalty to her employer. While she will not be compensated for the Greensleeves' Board position, the duties may be time-consuming and should be discussed with her employer in advance.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #15 of 180

Question ID: 1420222

With respect to a client's confidential information, if a member or candidate believes a client is engaging in illegal activity, the member should *most appropriately*:

- A) preserve the client's confidentiality. 
- B) report the client to the appropriate governmental authorities. 
- C) seek advice from his firm's legal counsel or compliance department. 

Explanation

Guidance for Standard III(E) Preservation of Confidentiality states that members or candidates should seek the advice of compliance personnel or legal counsel about the appropriate actions to take if they suspect illegal activity by clients. Members and candidates must comply with applicable laws, which may require or prohibit disclosure of confidential client information in these circumstances.

For Further Reference:

(Study Session 19, Module 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #16 of 180

Question ID: 1420214

Ray Brown, CFA, gives prospects his firm's marketing materials, not prepared by him, that indicate he has a graduate degree from State University, when in fact he did graduate work there but did not receive a degree. Brown informed the marketing department of this error when he first saw it. Brown has:

- A) violated the Standards by misrepresenting his qualifications. 
- B) not violated the Standards because he has informed his firm of the mistake. 

- C) not violated the Standards because he did not prepare the marketing materials or misrepresent his credentials to his firm.



Explanation

Brown has violated Standard I(C) Misrepresentation by giving prospects firm marketing materials that he knows are incorrect.

For Further Reference:

(Study Session 19, Module 58.2, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #17 of 180

Question ID: 1420230

Jenny Pickler, a Level II CFA Candidate, writes an economic forecast containing several interest rate projections. Her firm's investment committee reviews Pickler's report and changes several of the interest rates Pickler had forecast. To comply with CFA Institute Standards, Pickler:

- A) does not need to take any further action.
- B) should ask that her name be removed from the report.
- C) is required to independently review the data supporting the investment committee's changes.



Explanation

According to Standard V(A) Diligence and Reasonable Basis, group consensus is not required in the course of preparation of analytical reports. Pickler would only need to have her name removed from the report if she had reason to believe the investment committee did not have a reasonable and adequate basis for their changes.

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #18 of 180

Question ID: 1420212

Which of the following statements is *most accurate* about the Standard concerning knowledge of the law? Members and candidates are responsible for violations:

- A) that are proven by a regulatory authority. 
- B) of which they are aware or should be aware. 
- C) in which they knowingly participate or assist. 

Explanation

Standard I(A) Knowledge of the Law holds members and candidates responsible for violations in which they knowingly participate or assist. The Standard is not limited to violations that are proven by a regulatory authority. Although the Standard strongly encourages members and candidates to report potential violations of which they are aware, the Standard does not require them to do so.

For Further Reference:

(Study Session 19, Module 58.1, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #19 of 180

Question ID: 1420217

Andrew Pollard, CFA, overhears two executives from a multinational oil company discussing an unexpectedly large earnings increase the company is preparing to announce the following morning. When Pollard gets home that evening, he places an order to buy shares in this oil company. Which of the following *best* describes this situation?

- A) Pollard violated the Standards by acting on material nonpublic information. 
- B) There is no violation of CFA Institute Standards, since this was simply an overheard conversation. 
- C) Pollard violated CFA Institute Standards by not contacting counsel for advice before placing the trade. 

Explanation

Pollard has enough information to determine that the overheard information is indeed material nonpublic information. No matter how this information was obtained, even through an overheard conversation, Pollard may not act or cause others to act on it. Even if he had contacted internal counsel before placing the trade, Pollard would have violated Standard II(A) Material Nonpublic Information.

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #20 of 180

Question ID: 1420215

Recommended procedures for compliance with the Standard concerning misconduct suggest that firms in the investment industry should:

- A) periodically test their employees' knowledge of applicable laws, regulations, and the firm's code of ethics. 
- B) periodically inform employees of violations that have occurred and the disciplinary actions that the firm took against the employees involved. 
- C) check references of potential employees to verify that they are of good character and eligible for employment in the investment industry. 

Explanation

Checking the references given by potential employees is one of the recommended procedures for compliance with Standard I(D) Misconduct. Other recommended procedures are that the firm adopt a code of ethics and inform employees of potential violations and their consequences for disciplinary action. Neither testing employees' knowledge of laws and regulations nor informing them of actual violations by other employees is specified as a recommended procedure.

For Further Reference:

(Study Session 19, Module 58.2, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #21 of 180

Question ID: 1420233

Which of the following statements is *most accurate*? An analyst who changes employers and wants to maintain coverage of a stock:

- A) may copy supporting records from the prior firm and use them at the new firm. 
- B) must re-create the supporting records at the new firm with information from public sources or from the covered firm. 
- C) may maintain his recommendations at the new firm without re-creating the supporting documentation if those recommendations had a reasonable basis. 

Explanation

Supporting records for analyst recommendations are the property of the analyst's firm. A member or candidate who changes firms may not take these records without permission. To continue coverage of the same securities at a new firm, a member or candidate must re-create the supporting records based on information from the covered firm or from publicly available sources.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #22 of 180

Question ID: 1420236

After taking the Level I exam, Willie Winchester posts a comment on a social media website wondering why the exam had no questions about interest rate risk and currency risk. Winchester has:

- A) violated the Code and Standards by discussing the CFA Program on social media. 
- B) violated the Code and Standards by disclosing confidential information about the exam. 
- C) not violated the Code and Standards because he did not disclose specific exam questions. 

Explanation

Winchester violated Standard VII(A) Conduct as Participants in CFA Institute Programs by revealing topics that were not tested on the exam. Candidates are not restricted from discussing the CFA Program in general.

For Further Reference:

(Study Session 19, Module 58.9, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #23 of 180

Question ID: 1420223

A member provides a client with an investment performance presentation that does not include detailed information, but reflects the member's reasonable efforts to present results that are fair, accurate, and complete. Has the member complied with the Standard related to performance presentation?

- A)** Yes, the member has met the requirements of the Standard. 
- B)** No, because the performance presentation must comply with Global Investment Performance Standards. 
- C)** No, because "reasonable efforts" do not ensure that the presentation is fair, accurate, and complete. 

Explanation

Brief presentations are acceptable if they include a statement that detailed information is available upon request. Standard III(D) Performance Presentation requires members and candidates to make reasonable efforts to ensure fair, accurate and complete presentation of results. While compliance with GIPS is recommended to meet Standard III(D) obligations, use of GIPS is not required.

For Further Reference:

(Study Session 19, Module 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #24 of 180

Question ID: 1420227

With regard to independent practice by Members and Candidates who are employed, the Code and Standards specify that:

- A)** undertaking independent practice includes preparations to begin such practice. 
- B)** written consent must be obtained from both the employer and clients who may be affected. 
- members and candidates contemplating independent competitive business
- C)** must notify their current employer of the types of services to be rendered, duration, and compensation. 

Explanation

Standard IV(A) Loyalty requires that members and candidates notify their employer all details of the independent practice and receive the employer's consent before engaging in the competitive activity, but does not require any statement from firm clients. If the independent practice is likely to affect clients negatively, the employer can refuse permission. Making preparations to begin a competitive practice is allowed, as long as it does not interfere with current employment duties.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #25 of 180

Question ID: 1420218

Gary Hoskins, CFA, runs a macro strategy hedge fund. The hedge fund has a short position in July osmium futures. Hoskins attempts to gain control of the available supply of osmium that can be delivered in July, which will cause holders of long July futures to make offsetting trades instead of settling by delivery. Has Hoskins violated the Standard concerning market manipulation?

- A) Yes. 
- B) No, because Hoskins is executing an arbitrage trade. 
- C) No, because Hoskins is not manipulating the price of osmium. 

Explanation

Hoskins is attempting to manipulate the price of a derivative by securing a controlling position in the underlying asset, which is a violation of Standard II(B) Market Manipulation.

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #26 of 180

Question ID: 1420234

Isaac Jones, CFA, is a portfolio manager for a major brokerage firm. Jones wishes to buy Maxima common stock for some of his clients' accounts. Jones also wishes to purchase Maxima for his personal account. In accordance with CFA Institute Standards, Jones may purchase Maxima for his personal account:

- A) only after completing the transactions for his clients. 
- B) along with the purchases for his clients, as long as this is disclosed in advance to his clients and employer. 
- C) at any time, as long as the execution price is not more favorable than the execution price received by the clients. 

Explanation

In accordance with Standard VI(B) Priority of Transactions, employer and client transactions must take priority over any personal transactions, meaning any transactions in which the member or candidate is the beneficial owner. Disclosure is not enough to comply with this Standard and the execution price is not relevant.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #27 of 180

Question ID: 1420240

Which of the following statements *best* describes how GIPS requires portfolios to be grouped into composites?

- A) A discretionary portfolio should be included in all composites that are consistent with the assets held. 
- B) All discretionary portfolios must be included in a composite, but only if they are still managed by the firm. 
- C) Each composite must include all discretionary portfolios that the firm has managed according to a particular strategy or style. 

Explanation

All discretionary portfolios, current and past, must be included in one and only one composite.

For Further Reference:

(Study Session 19, Module 59.1, LOS 59.c)

CFA® Program Curriculum, Volume 6, page 494

Question #28 of 180

Question ID: 1420228

With respect to the responsibilities of supervisors, the Code and Standards state that those with supervisory responsibility:

- A) may not delegate supervisory responsibility. 
- B) are in violation if an employee under their supervision commits securities fraud. 
- C) must institute procedures to prevent and detect violations of rules and regulations by those subject to their supervision. 

Explanation

Standard IV(C) Responsibilities of Supervisors requires members and candidates with supervisory responsibility to make reasonable efforts to detect and prevent violations of rules and regulations (as well as of the Code and Standards) by those under their supervision. The fact that violations occur is not necessarily evidence that reasonable efforts were not made. In large organizations, delegating supervisory responsibility may be necessary, but this does not relieve the person with overall authority of supervisory responsibility.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #29 of 180

Question ID: 1420224

The Standard concerning suitability recommends that the objectives and constraints of an investment policy statement should be reviewed at least:

A) annually.



B) twice each year.



C) every two years.



Explanation

Recommendations for compliance with Standard III(C) Suitability state that an investment policy statement should be reviewed at least annually. The recommendations also note that changes in market conditions or client circumstances may make more frequent updates necessary.

For Further Reference:

(Study Session 19, Module 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #30 of 180

Question ID: 1420221

A member or candidate who changes his recommendation on a stock can comply with the Standards by communicating this change to clients according to:

A) size of the client.



B) known interest of the client in the stock.



C) number of shares of the stock owned by the client.



Explanation

Although simultaneous distribution of information is preferred, distributing recommendations, or changes of recommendations, first to those clients who have previously expressed interest in these types of securities is acceptable. Giving preferred treatment to larger accounts would violate Standard III(B) Fair Dealing.

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #31 of 180

Question ID: 1420068

George Reilly, CFA, manages the Ivy Foundation portfolio. The Ivy Foundation has a minimum acceptable return of 7%. The current risk-free rate is 6%. Reilly assumes that returns are normally distributed and wants to choose the optimal portfolio for the foundation. The *best* approach Reilly should take is to choose the portfolio that:

A) maximizes the Sharpe ratio.



B) maximizes the safety-first ratio.



C) minimizes the standard deviation of returns.



Explanation

Because the Ivy Foundation has a minimum acceptable return that is greater than the risk-free rate, the safety-first ratio is a more suitable criterion than the Sharpe ratio for choosing the optimal portfolio. Given a set of available portfolios, the one that maximizes the safety-first ratio will minimize the probability that the return will be less than the minimum acceptable return if we assume returns are normally distributed. This is the optimal portfolio. Minimizing standard deviation of returns could lead to choosing a portfolio with an expected return below Ivy Foundation's minimum acceptable return.

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.k,)

CFA® Program Curriculum, Volume 1, page 265

Question #32 of 180

Question ID: 1420102

Items that appear in other comprehensive income, but are excluded from the income statement, include:

- A) losses due to expropriation of assets. 
- B) gains and losses due to foreign currency translation. 
- C) unrealized gains and losses on trading securities. 

Explanation

Other comprehensive income includes unrealized gains and losses on available-for-sale securities, foreign currency translation gains and losses, minimum pension liability adjustments, and unrealized gains and losses on derivatives used for cash flow hedging.

Unrealized gains and losses on held-for-trading securities are included in net income on the income statement. Losses due to expropriation of assets would be included in net income, most likely as an unusual or infrequent item.

For Further Reference:

(Study Session 6, Module 17.5, LOS 17.I)

CFA® Program Curriculum, Volume 3, page 49

Question #33 of 180

Question ID: 1420119

Other things equal, which of the following conditions would place a company highest on a spectrum of financial reporting quality?

- A) Reported earnings that are not sustainable. 
- B) Efforts by management to keep net income steady over time. 
- C) Financial statements that reflect the company's economic activities accurately but are not in compliance with accounting principles. 

Explanation

Earnings quality may be low in a period because of one-time gains that do not otherwise call a company's financial reporting quality into question. Earnings smoothing or reporting that does not comply with generally accepted accounting principles represents a lower quality of financial reporting.

For Further Reference:

(Study Session 8, Module 25.1, LOS 25.b)

CFA® Program Curriculum, Volume 3, page 490

Question #34 of 180

Question ID: 1420113

A company purchases an asset in the first quarter and decides to capitalize the asset. Compared to expensing the asset cost, capitalizing the asset cost will result in higher cash flows in the first quarter from:

- A) investing.
- B) financing.
- C) operations.



Explanation

Capitalizing the cost of the asset results in higher CFO and lower CFI in the period of the purchase, compared to expensing the entire cost. If the cost is expensed, the cash outflow is classified as CFO, but if the asset is capitalized, the cash outflow is classified as CFI. Cash flow from financing is not affected by the decision to capitalize.

For Further Reference:

(Study Session 7, Module 22.1, LOS 22.c)

CFA® Program Curriculum, Volume 3, page 330

Question #35 of 180

Question ID: 1420083

Based on the aggregate demand/aggregate supply model:

- A) an inflationary or recessionary gap may exist in the long run.
- B) actual real GDP is equal to potential real GDP in the long run.
- C) no upward or downward pressure on the price level is present at short-run equilibrium.



Explanation

In the short run, real GDP can be less than its full-employment level (a recessionary gap that causes downward pressure on prices) or more than its full-employment level (an inflationary gap that causes upward pressure on prices). In long-run macroeconomic equilibrium, actual real GDP is equal to potential real GDP and there is no upward or downward pressure on the price level.

For Further Reference:

(Study Session 3, Module 10.3, LOS 10.i)

CFA® Program Curriculum, Volume 2, page 147

Question #36 of 180

Question ID: 1420067

A continuous uniform distribution is bounded by zero and 20. The probability of an outcome equal to 12 is *closest* to:

A) 0.00.



B) 0.05.



C) 0.60.

**Explanation**

Because the distribution is continuous, the probability of any specific outcome is zero.

For Further Reference:

(Study Session 2, Module 4.1, LOS 4.d)

CFA® Program Curriculum, Volume 1, page 246

Question #37 of 180

Question ID: 1420075

The chi-square test *least likely*:

A) uses a distribution with a lower bound of zero.



B) is used to test whether a variance equals a certain value.



C) can be used to make inferences even if the population is not normally distributed.

**Explanation**

The chi-square test is sensitive to violations of its assumptions. If the population from which the sample is drawn is not normally distributed, then inferences based on the chi-square test will be flawed.

For Further Reference:

(Study Session 2, Module 6.3, LOS 6.j)

CFA® Program Curriculum, Volume 1, page 388

Question #38 of 180

Question ID: 1420117

XYZ Company has decided to issue \$10 million of unsecured bonds. If issued today, the 4% semi-annual coupon bonds would require a market interest rate of 12%. Under U.S. GAAP, how will these bonds affect XYZ's statement of cash flows?

- A) The coupon payments will decrease operating cash flow each year and the discount will decrease financing cash flow at maturity. 
- B) The periodic interest expense will decrease operating cash flow and the discount will decrease financing cash flow at maturity. 
- C) The coupon payments and the discount amortization will decrease financing cash flow each year. 

Explanation

It is the coupon payment, not the interest expense, that results in an outflow of cash. The difference between the coupon payment and interest expense is the discount amortization. The amortization does not result in a cash outflow. Under U.S. GAAP, the coupon payment is reported as an operating cash flow. The discount, when paid at maturity, is reported as a financing cash flow.

For Further Reference:

(Study Session 7, Module 24.2, LOS 24.b)

CFA[®] Program Curriculum, Volume 3, page 440

Question #39 of 180

Question ID: 1420079

A manufacturing plant exhibits diseconomies of scale if long-run average cost (LRAC) is:

- A) decreasing as output increases, and the plant is at its minimum efficient scale if LRAC is at its lowest level. 
- B) decreasing as output increases, and the plant is at its minimum efficient scale if LRAC is decreasing over the entire range of output. 
- C) increasing as output increases, and the plant is at its minimum efficient scale if LRAC is at its lowest level. 

Explanation

Diseconomies of scale are present when long-run average cost increases as output increases. The minimum efficient scale is the plant size that produces the quantity of output for which LRAC is at a minimum.

For Further Reference:

(Study Session 3, Module 8.2, LOS 8.f)

CFA® Program Curriculum, Volume 2, page 43

Question #40 of 180

Question ID: 1420090

Placing a tariff on imports of a good is *most likely* to decrease:

- A) producer surplus for domestic producers of the good. 
- B) quantity of the good supplied by domestic producers. 
- C) quantity of the good demanded in the domestic market. 

Explanation

Placing a tariff on an imported good increases the good's domestic price, which reduces the quantity demanded. However, the quantity supplied by domestic firms increases with the domestic equilibrium price, as does producer surplus for domestic firms.

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.e)

CFA® Program Curriculum, Volume 2, page 362

Question #41 of 180

Question ID: 1420078

The standard error of estimate in a simple linear regression is equal to:

- A) the square root of the mean squared error. 
- B) the regression sum of squares divided by the total sum of squares. 
- C) the sum of squared errors divided by the degrees of freedom for the error term. 

Explanation

The standard error of estimate is the standard deviation of the residuals and is equal to the square root of the mean squared error. The regression sum of squares divided by the total sum of squares is the coefficient of determination (R^2). The sum of squared errors divided by the degrees of freedom for the error term is the mean squared error.

For Further Reference:

(Study Session 2, Module 7.2, LOS 7.e)

CFA® Program Curriculum, Volume 1, page 453

Question #42 of 180

Question ID: 1420112

Data for a manufacturing industry indicate that inventories of work in progress are increasing faster than sales. This is *most likely* to indicate that:

- A) the business cycle is at a peak.
- B) inventory is becoming obsolete.
- C) firms expect demand to increase.



Explanation

An increase in work-in-progress inventory relative to sales is likely to result from firms increasing production because they expect an increase in demand. An increase in finished goods inventories relative to sales would be more likely to indicate a decrease in demand that may be caused by obsolete inventory or a business cycle peak.

For Further Reference:

(Study Session 7, Module 21.4, LOS 21.j)

CFA® Program Curriculum, Volume 3, page 282

Question #43 of 180

Question ID: 1420093

Consider two currencies, the VKN and the PKR. The PKR is trading at an annual premium of 2.3% relative to the VKN in the forward market. The 1-year risk-free PKR rate is 3.0%. If no arbitrage opportunities are available, the current 1-year risk-free VKN interest rate is *closest* to:

- A) 0.7%.
- B) 2.3%.



C) 5.3%.



Explanation

Because the PKR is trading at a forward premium (the forward VKN/PKR exchange rate is greater than the spot VKN/PKR exchange rate), the VKN interest rate must be greater than the PKR interest rate. VKN should have an interest rate higher than that for PKR by the amount of the forward premium, or approximately $3.0\% + 2.3\% = 5.3\%$.

For Further Reference:

(Study Session 4, Module 14.2, LOS 14.h)

CFA® Program Curriculum, Volume 2, page 432

Question #44 of 180

Question ID: 1420062

Frank Jones is considering three separate investments. Investment 1 pays a stated annual interest rate of 6.1%, compounded annually. Investment 2 pays a stated annual interest rate of 6.0%, compounded monthly. Investment 3 pays a stated annual interest rate of 5.9%, compounded quarterly. Which investment should Smith choose?

A) Investment 1.



B) Investment 2.



C) Investment 3.



Explanation

Because Investment 1 is compounded annually, its effective annual interest rate is equal to the stated annual rate of 6.1%.

Investment 2 has an effective annual interest rate equal to:

$$[1 + (0.06 / 12)]^{12} - 1 = 6.17\%$$

Investment 3 has an effective annual interest rate equal to:

$$[1 + (0.059 / 4)]^4 - 1 = 6.03\%$$

Jones should choose Investment 2 since it has the highest effective annual interest rate.

For Further Reference:

(Study Session 1, Module 1.1, LOS 1.c)

CFA® Program Curriculum, Volume 1, page 15

Question #45 of 180

Question ID: 1420104

Jansen Co., a manufacturer of high-end sports equipment, earned \$45 million in net income for the year. The company paid out \$1.30 per share in dividends. Jansen issued 500,000 shares at the beginning of the year at \$20 (1 million shares were outstanding before the issuance). The market value of Jansen's trading securities decreased by \$2.4 million. The increase in Jansen's stockholders' equity is *closest* to:

- A) \$43 million.
- B) \$51 million.
- C) \$53 million.

**Explanation**

The unrealized loss on trading securities is reflected in net income. The total change in stockholder's equity is:

$$\$45,000,000 - [(1,000,000 + 500,000 \text{ shares}) \times \$1.3/\text{share}] + (500,000 \times \$20/\text{share}) = \$53,050,000$$

For Further Reference:

(Study Session 6, Module 18.7, LOS 18.f)

CFA® Program Curriculum, Volume 3, page 94

Question #46 of 180

Question ID: 1420097

Mullins Company's financial statements include an auditor's report with a qualified opinion. This *most likely* implies that the:

- A) auditor is reasonably assured that the financial statements are free of material errors.
- B) financial statements include exceptions to the applicable accounting standards but are presented fairly.
- C) financial statements are materially out of compliance with the applicable accounting standards and are not presented fairly.

**Explanation**

An auditor will issue a qualified opinion if the financial statements include exceptions to applicable accounting standards and will explain the nature and effect of these exceptions. An auditor will issue an adverse opinion if the financial statements are not presented fairly.

For Further Reference:

(Study Session 5, Module 15.2, LOS 15.d)

CFA® Program Curriculum, Volume 2, page 499

Question #47 of 180

Question ID: 1420105

Use of the indirect method of presenting cash flows from operating activities:

- A) is encouraged by both the IASB and FASB. 
- B) illustrates the reasons for the difference between net income and operating cash flow. 
- C) requires disclosure of the cash flows that would be presented using the direct method. 

Explanation

An argument in favor of using the indirect method is that it links the income statement with the cash flow statement by focusing on the differences between net income and operating cash flow. Standard setting bodies permit either method but encourage use of the direct method. Companies that use the direct method must provide a disclosure that reconciles net income with cash flow from operations, similar information to what would be presented under the indirect method.

For Further Reference:

(Study Session 6, Module 19.1, LOS 19.d)

CFA® Program Curriculum, Volume 3, page 125

Question #48 of 180

Question ID: 1420080

Wilmer Jones owns several restaurants in different cities. His restaurants compete on quality of food and service, price, and marketing. Competitors can enter and exit his markets, and there are usually several competitors in each market. His market structure can *best* be characterized as:

- A) perfect competition. 

B) monopolistic competition.



C) oligopoly.



Explanation

This is an example of monopolistic competition, because this market has low barriers to entry and exit, and features product differentiation.

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.h)

CFA® Program Curriculum, Volume 2, page 107

Question #49 of 180

Question ID: 1420071

When estimating a population mean or constructing a confidence interval based on the central limit theorem:

A) the midpoint of a confidence interval is a point estimate of the population parameter.



B) the degree of significance is the probability that the actual value of the parameter lies within the confidence interval.



C) a point estimate with a 95% degree of confidence is more accurate than a point estimate with a 90% degree of confidence.



Explanation

Confidence intervals for a population mean based on a sample are constructed by multiplying the standard error of a point estimate by a reliability factor, and adding this value to, and subtracting it from, the point estimate. Thus, the point estimate is the midpoint of the confidence interval. The probability that the actual value of the parameter is within a confidence interval is the degree of confidence, which equals one minus the degree of significance. Degrees of confidence or significance apply to confidence intervals but not to point estimates.

For Further Reference:

(Study Session 2, Module 5.2, LOS 5.h)

CFA® Program Curriculum, Volume 1, page 326

Question #50 of 180

Question ID: 1420073

An analyst has a sample of 28 observations with a sample mean of 14.2% and a sample variance of 0.00131. For a test about the population mean, she should use:

- A) a *t*-test if the population is normally distributed. 
- B) a *z*-test if the population is normally distributed. 
- C) either a *z*-test or a *t*-test regardless of the population distribution.. 

Explanation

With a small sample size, a normally distributed population, and an unknown population variance, a *t*-test is the appropriate test for a hypothesis about the population mean.

For Further Reference:

(Study Session 2, Module 6.2, LOS 6.g)

CFA® Program Curriculum, Volume 1, page 377

Question #51 of 180

Question ID: 1420100

A firm has undertaken a contract with an estimated total cost of \$500 million at a price of \$800 million. At the end of the first reporting period, the firm has devoted resources of \$180 million to the project. The customer has been billed for \$250 million and made payments of \$160 million. The amount of revenue the firm should record for the period is *closest* to:

- A) \$180 million. 
- B) \$250 million. 
- C) \$290 million. 

Explanation

Using the percentage of total costs incurred to date as an estimate of the portion of the performance obligations completed, revenue should be $(180 / 500) \times \$800$ million = \$288 million.

For Further Reference:

(Study Session 6, Module 17.2, LOS 17.c)

CFA® Program Curriculum, Volume 3, page 12

Question #52 of 180

Question ID: 1420110

Inventory cost is *most likely* to include:

- A) storage costs for finished goods until they are actually sold.
- B) shipping cost for delivery to the customer.
- C) an allocation of fixed production overhead.



Explanation

An allocation of fixed production overhead based on normal production capacity is included in inventory cost. Neither storage costs that are not required as part of the production process nor shipping costs for delivery to the customer are included in inventory cost.

For Further Reference:

(Study Session 7, Module 21.1, LOS 21.a)

CFA® Program Curriculum, Volume 3, page 255

Question #53 of 180

Question ID: 1420091

With regard to the balance of payments, the purchase of rights to natural resources in a country by foreigners would be *most likely* to affect the country's:

- A) capital account.
- B) current account.
- C) financial account.



Explanation

Sales and purchases of non-financial assets in a country are accounted for in the capital account.

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.h)

CFA® Program Curriculum, Volume 2, page 376

Question #54 of 180

Question ID: 1420099

Which of the following statements *most accurately* describes the general features of financial statements under IFRS?

- A) All of the required financial statements are prepared using accrual accounting.



- B) Assets may not be offset against liabilities unless specifically permitted or required by a standard. 
- C) Prior-period information may only be presented when specifically permitted or required by a standard. 

Explanation

One of the general requirements stated in IAS No. 1 is that firms not offset assets against liabilities unless a specific standard permits or requires it. The statement of cash flows is not prepared using accrual accounting. IAS No. 1 states that firms should present comparative information for prior periods unless a specific standard states otherwise.

For Further Reference:

(Study Session 5, Module 16.2, LOS 16.d)

CFA® Program Curriculum, Volume 2, page 527

Question #55 of 180

Question ID: 1420066

Tony Borden, CFA, is analyzing the earnings of two companies. For each company, Borden estimates a probability that its earnings will exceed the consensus estimate. To estimate the probability that at least one of the companies will exceed its earnings estimate, Borden should use the:

- A) total probability rule. 
- B) addition rule of probability. 
- C) multiplication rule of probability. 

Explanation

The addition rule of probability is used to calculate the probability that at least one of two events will occur: $P(A \text{ or } B) = P(A) + P(B) - P(AB)$. The total probability rule is used to calculate the unconditional probability of an event given conditional probabilities related to the event: $P(A) = P(A | B_1)P(B_1) + P(A | B_2)P(B_2) + \dots + P(A | B_N)P(B_N)$. The multiplication rule of probability is used to calculate the joint probability that two events will occur together: $P(AB) = P(A | B) \times P(B)$.

For Further Reference:

(Study Session 1, Module 3.1, LOS 3.e)

CFA® Program Curriculum, Volume 1, page 182

Question #56 of 180

Question ID: 1420088

A central bank's policy rate is considered expansionary if it is less than:

- A) the central bank's target inflation rate. 
- B) the long-term growth rate of real economic output. 
- C) the sum of the long-term growth rate of real economic output and the target inflation rate. 

Explanation

Monetary policy is said to be expansionary if the central bank's policy rate is less than the neutral interest rate, which is the sum of the long-term trend rate of real economic growth and the central bank's target inflation rate.

For Further Reference:

(Study Session 4, Module 12.2, LOS 12.m)

CFA® Program Curriculum, Volume 2, page 305

Question #57 of 180

Question ID: 1420116

Dot Corporation uses accelerated depreciation for tax purposes and straight-line depreciation for financial reporting. The company has a large cash position which is invested in tax-free municipal bonds. With regard to Dot's financial statements and tax reporting:

- A) both the interest income and the depreciation method will necessitate the use of a valuation allowance account. 
- B) the interest income will result in a deferred tax asset and the depreciation method will result in a deferred tax liability. 
- C) the depreciation expense causes a temporary difference between income tax expense and taxes payable, and the interest income creates a permanent difference. 

Explanation

The interest income from municipal bonds is a permanent difference; thus, no deferred taxes are created and the difference is reflected in the company's effective tax rate. The different depreciation methods result in temporary differences that are expected to reverse. In the case of depreciation, a deferred tax liability is created. Valuation allowance accounts only apply to deferred tax assets and are created when it becomes probable that the company will not have enough future income to realize the full value of the deferred tax assets.

For Further Reference:

(Study Session 7, Module 23.5, LOS 23.f)

CFA® Program Curriculum, Volume 3, page 408

Question #58 of 180

Question ID: 1420084

An analyst who expects the economy to experience stagflation should *most appropriately* recommend investing in:

- A) bonds. 
- B) equities. 
- C) commodities. 

Explanation

Stagflation is a period of economic contraction with increasing inflation, typically brought on by a sharp decrease in aggregate supply. Investments in equities tend to perform poorly in an economic contraction due to decreasing profitability of companies. Fixed income investments decrease in price when nominal interest rates increase due to increases in inflation. Commodity prices tend to increase with inflation.

For Further Reference:

(Study Session 3, Module 10.3, LOS 10.I)

CFA® Program Curriculum, Volume 2, page 160

Question #59 of 180

Question ID: 1420087

The consumer price index is *best* described as:

- A) the inflation rate for a given period of time. 
- B) an unbiased estimate of changes in the cost of living. 
- C) a weighted average cost for a basket of goods and services. 

Explanation

The consumer price index (CPI) is the average cost of a basket of goods and services, weighted to represent the purchases of a typical household, and indexed to a reference base period. The inflation rate is a percentage change in a price index such as the CPI. Inflation as measured by the CPI is believed to overestimate the actual increase in the cost of living because it does not account for structural changes such as new goods, quality improvements, or consumers shifting their purchases to lower-priced goods.

For Further Reference:

(Study Session 3, Module 11.2, LOS 11.i)

CFA® Program Curriculum, Volume 2, page 243

Question #60 of 180

Question ID: 1420108

Bivac Corp. has been experiencing a declining return on equity over the past few years. Selected financial statement ratios for Bivac appear below:

	Prior Year	Current Year
Tax Burden	0.60	0.62
Interest Burden	0.80	0.81
EBIT Margin	0.26	0.26
Asset Turnover	1.06	1.06
ROE	0.15	0.14

What is the *most likely* reason for the decline in Bivac's ROE?

- A) Leverage has declined.
- B) The tax rate has increased.
- C) Net profit margin has declined.



Explanation

ROE can be broken out as:

$$\text{ROE} = \text{Tax burden} \times \text{Interest burden} \times \text{EBIT Margin} \times \text{Asset Turnover} \times \text{Leverage}$$

$$\text{Prior Year: } 0.15 = 0.60 \times 0.80 \times 0.26 \times 1.06 \times \text{Leverage}$$

$$\text{Current Year: } 0.14 = 0.62 \times 0.81 \times 0.26 \times 1.06 \times \text{Leverage}$$

Solving the equation for leverage reveals that the measure has decreased from 1.13 in the prior year to 1.01 in the current year. This indicates Bivac is using less debt in its capital structure and is the most likely reason the company's ROE has declined.

The company's net profit margin has increased:

$$\text{Net profit margin (Prior Year): } 0.60 \times 0.80 \times 0.26 = 0.12$$

$$\text{Net profit margin (Current Year): } 0.62 \times 0.81 \times 0.26 = 0.13$$

The company's tax rate has decreased from $0.40 = (1 - 0.60)$ to $0.38 = (1 - 0.62)$.

For Further Reference:

(Study Session 6, Module 20.4, LOS 20.d)

CFA® Program Curriculum, Volume 3, page 221

Question #61 of 180

Question ID: 1420063

Sydney Burns, CFA, is considering the purchase of a bond issued by SubPrime Providers. The bond is highly liquid and has a maturity equal to that of a long-term Treasury bond. The SubPrime Providers bond carries a default risk premium of 5%. Burns notices that the difference in interest rates offered on long-term Treasury bonds and short-term Treasury bills currently equals 4%. The real risk-free rate equals 1% and the expected inflation rate equals 2%. Burns should expect the interest rate on the SubPrime Providers bond to:

- A)** be greater than or equal to 4%, and less than or equal to 8%.
- B)** be greater than or equal to 5%, and less than or equal to 9%.
- C)** be greater than or equal to 7%, and less than or equal to 12%.



Explanation

The interest rate equals the sum of the real rate, the expected inflation rate, the total risk premium (which equals the sum of the maturity risk premium, the liquidity risk premium, and the default risk premium). The real rate equals 1%, the expected inflation rate equals 2%, the maturity risk premium equals 4%. Treasury bonds have no liquidity or default risk, so the interest rate on a long-term Treasury bond would be expected to equal 7%. Since the SubPrime Providers (long-term) bond incurs default risk, its interest rate must exceed that of the long-term Treasury bond (i.e., 7%). The SubPrime Providers bond is highly liquid, so it has no liquidity premium. The default risk premium for SubPrime Providers bond equals 5%. Taken together, this implies that the SubPrime Provider bond interest rate should exceed the Treasury bond interest by 5 percentage points (12%).

For Further Reference:

(Study Session 1, Module 1.1, LOS 1.b)

CFA® Program Curriculum, Volume 1, page 6

Question #62 of 180

Question ID: 1420089

If there is an increase in the quantity of money at full employment, the long-run effects will *most likely* be:

- A) an increase in the price level and a decrease in real GDP.
- B) an increase in the price level and no effect on real GDP.
- C) no effect on the price level and no effect on real GDP.



Explanation

An increase in the quantity of money at full employment will reduce interest rates in the short run, which would increase short-run aggregate demand above full employment. This causes wage demands to increase, which in turn reduces short-run aggregate supply. In the long run, real GDP reverts to its full-employment level with an increase in price level equal to the percentage increase in the quantity of money.

For Further Reference:

(Study Session 4, Module 12.2, LOS 12.k)

CFA® Program Curriculum, Volume 2, page 291

Question #63 of 180

Question ID: 1420118

Shelby Enterprises recently entered into a new \$500 million revolving credit facility. The provisions of the facility require Shelby to repay the loan before any other debt can be retired. In addition, if the company's debt-to-capital ratio is higher than 1.0 or its equity falls below \$2 billion, Shelby will be prohibited from paying any dividends. Shelby would *most likely* agree to these covenants because they reduce:

A) risk to bondholders.



B) the company's interest cost.



C) risk to shareholders.



Explanation

Shelby's management will agree to the lending covenants to lower the interest rate on the credit facility. The existing bondholders and shareholders may have more risk since their respective interests are subordinate to the credit facility.

For Further Reference:

(Study Session 7, Module 24.3, LOS 24.d)

CFA® Program Curriculum, Volume 3, page 451

Question #64 of 180

Question ID: 1420064

An analyst has calculated the arithmetic, harmonic, and geometric mean using the last 10 years of returns on a stock. Which of these means should the analyst *most appropriately* use to forecast next year's return on the stock?

A) Harmonic mean.



B) Geometric mean.



C) Arithmetic mean.



Explanation

The arithmetic mean is statistically the best estimate (expected value) of the next year's return. The harmonic mean is not typically used to compute the historical performance or forecast the expected performance of an investment; rather it is used to compute the average cost of shares purchased over time. The geometric mean is used to calculate average annual compound returns. It is the best estimate of future multi-year annual compound returns, but the arithmetic mean is the best estimate of a single year's return.

For Further Reference:

(Study Session 1, Module 2.3, LOS 2.h)

CFA® Program Curriculum, Volume 1, page 118

Question #65 of 180

Question ID: 1420065

The histogram of returns data for the Accel Equity Fund has a long left tail and is more peaked than a normal distribution. Based on the histogram, the distribution of returns for Accel has:

- A) positive skewness.
- B) negative skewness.
- C) negative excess kurtosis.

**Explanation**

The histogram contains a long left tail, which indicates significant negative skew for the distribution. If the histogram contained a long right tail, the distribution would have exhibited positive skew. A distribution with negative excess kurtosis (i.e., a platykurtic distribution) is less peaked and has thinner tails compared to a normal distribution. A distribution that is more peaked and has thicker tails compared to a normal distribution has positive excess kurtosis (i.e., a leptokurtic distribution).

For Further Reference:

(Study Session 1, Module 2.5, LOS 2.m)

CFA® Program Curriculum, Volume 1, page 139

Question #66 of 180

Question ID: 1420098

The objective of financial statements is *best* described as:

- A) aiding in the evaluation of potential equity and debt investments.
- B) providing economic decision makers with useful information about a firm's financial performance and changes in financial position.
- C) providing shareholders detailed information about the performance and financial position of the firm.

**Explanation**

The objective of financial reporting is to ensure that the information in financial statements is useful to a wide range of users.

For Further Reference:

(Study Session 5, Module 16.1, LOS 16.a)

CFA® Program Curriculum, Volume 2, page 516

Question #67 of 180

Question ID: 1420107

A company understates year-end depreciation. As compared to the properly stated year-end results, what effect will this understatement have on the company's asset turnover ratio?

- A) No impact.
- B) Decrease.
- C) Increase.

**Explanation**

Asset turnover equals sales / average total assets. Understating depreciation expense has no effect on sales. The lower depreciation will result in understatement of accumulated depreciation, so assets will be overstated. The higher level of assets will decrease the asset turnover ratio.

For Further Reference:

(Study Session 6, Module 20.2, LOS 20.b)

CFA® Program Curriculum, Volume 3, page 197

Question #68 of 180

Question ID: 1420094

A spot exchange rate is 8.6145 and the 1-year forward quotation is +0.25%. The 1-year forward quotation on a points basis is *closest* to:

- A) 2.
- B) 25.
- C) 215.

**Explanation**

Convert the percentage quote to a points quote as $0.0025 \times 8.6145 = 0.0215$, which is 215 points (each point is 0.0001).

For Further Reference:

(Study Session 4, Module 14.2, LOS 14.e)

CFA® Program Curriculum, Volume 2, page 431

Question #69 of 180

Question ID: 1420101

Thunderbird Company reported net income of \$500 million and the company had 100 million common shares outstanding. In addition, Thunderbird had 5 million shares of convertible preferred and 10 million outstanding warrants during the year. Each preferred share pays a dividend of \$4 per share and is convertible into three common shares. Each warrant is convertible into one common share at \$25 per share. The company's stock traded at an average \$50 per share. Thunderbird's diluted earnings per share for the year is *closest* to:

A) \$4.00 per share.



B) \$4.20 per share.



C) \$4.80 per share.

**Explanation**

$$\text{Basic EPS} = \frac{\$500 \text{ million} - \$20 \text{ million}}{100 \text{ million}} = \$4.80 \text{ per share}$$

$$\text{Preferred dividend} = 5 \text{ million} \times \$4 = \$20 \text{ million}$$

$$\text{Shares created from conversion} = 5 \text{ million shares} \times 3 \text{ shares} = 15 \text{ million shares}$$

$$\frac{\$20 \text{ million}}{15 \text{ million}} = \$1.33, \text{ convertible preferred is dilutive}$$

$$\text{Shares created from warrant} = \left[\frac{\$50 - \$25}{\$50} \right] \times 10 \text{ million shares} = 5 \text{ million shares}$$

Exercise price < average price, warrants are dilutive.

$$\text{Diluted EPS} = \frac{\$500 \text{ million}}{100 \text{ million} + 15 \text{ million} + 5 \text{ million}} = \$4.17 \text{ per share}$$

For Further Reference:

(Study Session 6, Module 17.4, LOS 17.h)

CFA® Program Curriculum, Volume 3, page 43

Question #70 of 180

Question ID: 1420077

The regression line in a simple linear regression model minimizes the sum of the squared differences between:

A) the values of the dependent variable and its mean.



B) the predicted and actual values of the dependent variable.



C) the model's errors and the standard error of the dependent variable.



Explanation

The best-fitting linear relationship between the dependent and independent variables is defined as that which minimizes the sum of squared errors, where the errors are the differences between the predicted and actual values of the dependent variable. '

For Further Reference:

(Study Session 2, Module 7.1, LOS 7.b)

CFA[®] Program Curriculum, Volume 1, page 434

Question #71 of 180

Question ID: 1420096

Declaration and payment of a dividend during the most recent accounting period would be shown on a company's statements of:

A) cash flows and changes in equity.



B) cash flows and comprehensive income.



C) changes in equity and comprehensive income.



Explanation

Declaration of a dividend will be recorded as a decrease in equity, and payment of a dividend will be shown on a company's cash flow statement, but neither affects income or comprehensive income.

For Further Reference:

(Study Session 5, Module 15.1, LOS 15.b)

CFA[®] Program Curriculum, Volume 2, page 483

Question #72 of 180

Question ID: 1420081

Which of the following *most likely* describes a loss that consumers suffer under an unregulated monopoly compared to a competitive market?

A) Monopolies produce less goods than a competitive market would.



B) Costs of production are higher with monopolies.



C) Monopolists charge the maximum price.



Explanation

A reduction in output and increase in price under monopoly decrease consumer surplus and welfare compared to perfect competition. A natural monopoly may have lower costs than several competitive suppliers. Monopolists charge the profit maximizing price, not the "maximum price."

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.b)

CFA® Program Curriculum, Volume 2, page 69

Question #73 of 180

Question ID: 1420106

During 20X1, Tusa Company sold machinery with an original cost of \$100,000, and recognized a \$15,000 gain from the sale. At the time of the sale, the accumulated depreciation of the machinery was \$80,000. Ignoring taxes, the machinery sale will produce a:

A) \$15,000 inflow from investing activities.



B) \$20,000 inflow from operating activities.



C) \$35,000 inflow from investing activities.



Explanation

Ignoring taxes, the cash flow for 20X1 consists of the sale proceeds. The sale proceeds equal \$35,000, or the \$20,000 book value (\$100,000 cost – \$80,000 accumulated depreciation) plus the \$15,000 gain. The proceeds are reported as an inflow from investing activities.

For Further Reference:

(Study Session 6, Module 19.2, LOS 19.f)

CFA® Program Curriculum, Volume 3, page 137

Question #74 of 180

Question ID: 1420074

Pat Harris, CFA, examines earnings data for 3 energy companies:

Company	Average per-share	
	quarterly earnings	p -value
Axxon Industries	\$2.00	0.25
Babson Drilling	\$0.50	0.04
Cerex Energy	\$3.00	0.01

Harris is asked to test the hypothesis for each company that mean earnings equal zero. Using a 5% level of significance, Harris should conclude that the null hypothesis should be rejected for:

- A) Babson only. 
- B) Axxon and Cerex only. 
- C) Babson and Cerex only. 

Explanation

The p -value represents the smallest significance level at which the null hypothesis can be rejected. The decision rule is to reject the null hypothesis whenever the p -value is less than the significance level. Therefore, the null hypothesis should be rejected for Babson Drilling and Cerex Energy, but not for Axxon Industries.

For Further Reference:

(Study Session 2, Module 6.2, LOS 6.e)

CFA® Program Curriculum, Volume 1, page 371

Question #75 of 180

Question ID: 1420111

For the last few years, firms in an expanding industry have found it more difficult to keep up with consumer demand despite steadily increasing inventory levels. The Consumer Price Index (CPI) has been at a level of 1050, 1060, and 1087 in the last three years. Given this situation, a firm in this industry that seeks to report higher net income would *most likely* prefer which inventory accounting method?

- A) LIFO. 
- B) FIFO. 
- C) Average cost. 

Explanation

In a period of rising prices and rising inventory levels, FIFO results in the highest net income (lowest COGS).

For Further Reference:

(Study Session 7, Module 21.2, LOS 21.d)

CFA® Program Curriculum, Volume 3, page 263

Question #76 of 180

Question ID: 1420120

Jo Evans, CFA, analyzes the financial statements of Shubert Company and writes, "Shubert's earnings, while sustainable, provide an inadequate return to shareholders." Evans has expressed a concern with Shubert's:

- A) quality of reported results only. 
- B) financial reporting quality only. 
- C) quality of reported results and financial reporting quality. 

Explanation

Adequacy and sustainability of earnings are issues related to quality of reported results. Financial reporting quality refers to issues related to the relevance and faithful representation of financial reports.

For Further Reference:

(Study Session 8, Module 25.1, LOS 25.a)

CFA® Program Curriculum, Volume 3, page 490

Question #77 of 180

Question ID: 1420086

The national government has undertaken a plan to combat a recession that includes a fiscal stimulus package. The school of economic thought *most likely* to support this action is the:

- A) Neoclassical. 
- B) Keynesian. 
- C) Monetarist. 

Explanation

The Keynesian school of macroeconomics believes that increasing the money supply or increasing government spending (such as with a stimulus package) will increase real GDP and combat recession. Monetarists believe economic growth is best supported through a policy of steady and predictable money supply increases. The neoclassical school of thought believes that economic cycles will correct themselves through a rapid adjustment of the prices of key productive inputs that restores the economy to full employment.

For Further Reference:

(Study Session 3, Module 11.1, LOS 11.d)

CFA® Program Curriculum, Volume 2, page 220

Question #78 of 180

Question ID: 1420072

A method of estimating the standard error of the sample mean that involves calculating the means of repeated samples, each with one observation omitted from the initial samples, is most appropriately termed the:

A) jackknife method.



B) bootstrap method.



C) sample reduction method.



Explanation

The procedure described is the jackknife method. The standard deviation of the means of samples, all with one of the sample observations deleted, is then used as the estimated standard error of the sample mean.

For Further Reference:

(Study Session 2, Module 5.2, LOS 5.i)

CFA® Program Curriculum, Volume 1, page 334

Question #79 of 180

Question ID: 1420085

Under the production function approach to modeling economic growth, will growing an economy's amount of physical capital at a constant rate support long-term economic growth at that rate?

A) No, because physical capital depreciates over time.



B) Yes, because output is a positive function of both labor and capital.



C) No, because physical capital exhibits diminishing marginal productivity.



Explanation

A constant growth rate of physical capital will increase output over time, but because capital exhibits diminishing marginal productivity, the economy will grow at a rate that decreases over time.

For Further Reference:

(Study Session 3, Module 10.3, LOS 10.o)

CFA® Program Curriculum, Volume 2, page 171

Question #80 of 180

Question ID: 1420115

Selected information on Reckner Company's income taxes appears in the following table:

	20X1	20X2	20X3
Taxes payable	250	500	500
Deferred tax assets	200	300	200
Deferred tax liabilities	200	300	400

Compared to 20X2, Reckner's 20X3 income tax expense:

A) increased.



B) decreased.



C) remained the same.



Explanation

Income tax expense = taxes payable + Δ DTL – Δ DTA. Income tax expense in 20X2 was $500 + (300 - 200) - (300 - 200) = 500$. Income tax expense in 20X3 was $500 + (400 - 300) - (200 - 300) = 700$. Income tax expense increased by 200.

For Further Reference:

(Study Session 7, Module 23.3, LOS 23.d)

CFA® Program Curriculum, Volume 3, page 399

Question #81 of 180

Question ID: 1420114

A decrease in accumulated depreciation is *most likely* to result from:

- A) selling or disposing of a long-lived asset. 
- B) increasing the salvage value of a long-lived asset. 
- C) decreasing the estimated useful life of a long-lived asset. 

Explanation

When a long-lived asset is sold or otherwise disposed of, its original cost and accumulated depreciation are removed from the balance sheet. Changing the estimated salvage value or useful life of a long-lived asset will change depreciation expense in the subsequent periods but does not affect accumulated depreciation.

For Further Reference:

(Study Session 7, Module 22.3, LOS 22.j)

CFA® Program Curriculum, Volume 3, page 360

Question #82 of 180

Question ID: 1420095

Which of the following statements about the elasticities and absorption approaches to explaining the impact of exchange rate changes on trade deficits is *most accurate*?

- A) Both the elasticities and absorption approaches consider trade and capital flows. 
Under the elasticities approach, currency depreciation will result in greater
- B) improvement in the trade deficit when either import or export demand becomes more elastic. 
- C) Under the absorption approach, depreciation of the domestic currency will improve a trade deficit if it increases national expenditures relative to income. 

Explanation

Under the elasticities approach, currency depreciation will result in greater improvement in the trade deficit when either import or export demand becomes more elastic. One shortcoming of the elasticities approach is that it considers trade flows and ignores capital flows. The absorption approach considers both. Under the absorption approach, depreciation of the domestic currency will improve the balance of trade if it increases domestic savings (i.e., increases national income relative to expenditures).

For Further Reference:

(Study Session 4, Module 14.3, LOS 14.j)

CFA® Program Curriculum, Volume 2, page 451

Question #83 of 180

Question ID: 1420069

The continuously compounded annual rate of return that would increase the value of an investment by 20% in three years is *closest* to:

A) 5.7%.



B) 6.1%.



C) 6.7%.

**Explanation**

The continuously compounded annual rate of return is $\ln(1.20) / 3 = 0.0608$ or 6.08%.

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.m)

CFA® Program Curriculum, Volume 1, page 272

Question #84 of 180

Question ID: 1420076

For a test with sample size n of whether two variables are correlated, the critical values are based on:

A) n degrees of freedom.



B) $n - 1$ degrees of freedom.



C) $n - 2$ degrees of freedom.

**Explanation**

The test statistic for the hypothesis that correlation = 0 follows a t -distribution with $n - 2$ degrees of freedom.

For Further Reference:

(Study Session 2, Module 6.4, LOS 6.l)

CFA® Program Curriculum, Volume 1, page 398

Question #85 of 180

Question ID: 1420103

Magnus Aerospace produces and sells aircraft and has approximately a 2-year operating cycle. Magnus's liabilities include commercial paper due in 270 days, a bank note due in one year, and bonds that will mature in 18 months. Magnus should *most appropriately* classify as current liabilities:

- A) all of these liabilities.
- B) only the commercial paper.
- C) the commercial paper and the bank note.



Explanation

Current liabilities are obligations due within one year or the company's operating cycle, whichever is longer. With an operating cycle of two years, Magnus should classify as current any liabilities that must be settled in less than two years.

For Further Reference:

(Study Session 6, Module 18.3, LOS 18.d)

CFA® Program Curriculum, Volume 3, page 67

Question #86 of 180

Question ID: 1420082

Which model of pricing strategy under imperfect competition requires that firms be able to identify groups of customers that have different elasticities of demand?

- A) Nash equilibrium.
- B) Price discrimination.
- C) Kinked demand curve.



Explanation

For a price discrimination strategy to increase a firm's profits, the firm must face a downward-sloping demand curve, have at least two identifiable groups of customers that have different price elasticities of demand, and be able to prevent these customers from reselling the product to each other.

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.f)

CFA® Program Curriculum, Volume 2, page 77

Question #87 of 180

Question ID: 1420092

An advantage of a common market, relative to a customs union or a free trade area, is that a common market:

- A) adopts a single currency. 
- B) removes barriers to movement of labor and capital. 
- C) establishes common institutions and economic policy. 

Explanation

A free-trade area removes barriers to the flow of goods and services, while a common market removes barriers to movement of goods, services, labor, and capital.

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.f)

CFA® Program Curriculum, Volume 2, page 368

Question #88 of 180

Question ID: 1420109

Hazel Edwards, CFA, is analyzing Collins Footwear, Inc. and obtains the following data for the company's major geographic segments:

	Asia	Europe	North America
Sales (U.S. dollars)	\$200 million	\$300 million	\$500 million
Net profit margin	4.5%	3.0%	1.5%
Asset turnover	1.5×	2.5×	4.0×

Based on these data, Edwards should conclude that Collins's:

- A) smallest segment by assets is Asia. 
- B) most profitable segment by return on assets is Europe. 
- C) most profitable segment by net income is North America. 

Explanation

Return on assets is $3.0 \times 2.5 = 7.5\%$ in Europe, $4.5 \times 1.5 = 6.75\%$ in Asia, and $1.5 \times 4.0 = 6.0\%$ in North America.

Assets are $\$200 \text{ million} / 1.5 = \133.3 million in Asia, $\$500 \text{ million} / 4.0 = \125 million in North America, and $\$300 \text{ million} / 2.5 = \120 million in Europe.

Net income is $4.5\% \times \$200 \text{ million} = \9 million in Asia, $3.0\% \times \$300 \text{ million} = \9 million in Europe, and $1.5\% \times \$500 \text{ million} = \7.5 million in North America.

For Further Reference:

(Study Session 6, Module 20.5, LOS 20.f)

CFA® Program Curriculum, Volume 3, page 234

Question #89 of 180

Question ID: 1420070

To select the correct Student's t -distribution for a hypothesis test, a researcher must identify its:

- A) mean and variance only.
- B) degrees of freedom only.
- C) mean, variance, and degrees of freedom.



Explanation

Each Student's t -distribution is defined by a single parameter, its degrees of freedom.

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.n)

CFA® Program Curriculum, Volume 1, page 275

Question #90 of 180

Question ID: 1420121

An analyst gathers the following selected financial information on Quip Corp.

Partial financials for 20X8 Quip Corp

Sales	\$350,000
Cost of goods sold	270,000
Net income	35,000
Current assets	165,000
Current liabilities	130,000
20X8 LIFO reserve	30,000
20X7 LIFO reserve	20,000

To compare Quip and its competitors, an analyst makes the necessary adjustments to restate Quip's financial statements to reflect the FIFO inventory accounting method. Quip's adjusted gross profit margin is *closest* to:

A) 20%.



B) 23%.



C) 26%.



Explanation

adjusted cost of goods sold Quip = $270,000 - (30,000 - 20,000) = 260,000$

adjusted gross profit margin Quip = $(350,000 - 260,000) / 350,000 = 0.257 \approx 26\%$

For Further Reference:

(Study Session 8, Module 26.2, LOS 26.e)

CFA® Program Curriculum, Volume 3, page 581

Question #91 of 180

Question ID: 1420205

Stephanie Dell is evaluating two stocks (X and Y) using the capital asset pricing model. Dell predicts that the betas for the two stocks will be identical but that the unsystematic risk for Stock X will be much higher than for Stock Y. According to the capital asset pricing model, in equilibrium:

A) Stock X will have a higher expected return than Stock Y but a standard deviation equal to Stock Y.



- B) Stock X will have a higher standard deviation than Stock Y but an expected return equal to Stock Y. 
- C) both the expected return and standard deviation for Stock X will be higher than Stock Y. 

Explanation

The equation for the capital asset pricing model is:

$$E(R_i) = R_F + \beta_i[E(R_M) - R_F]$$

Beta measures the sensitivity of the stock's returns to changes in the returns on the market portfolio and is a standardized measure of the stock's systematic or non-diversifiable risk. As indicated by the CAPM equation, the expected return for any stock is related to its beta. In contrast, unsystematic risk does not affect the CAPM expected return. Therefore, according to the CAPM, expected returns are identical for assets with identical betas. Stock X has identical systematic risk but greater unsystematic risk than Stock Y, resulting in greater total risk (standard deviation).

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.f)

CFA® Program Curriculum, Volume 5, page 541

Question #92 of 180

Question ID: 1420126

Martin Zwingle is making a capital allocation decision with regard to a new project. The initial expense of the project would cause the company's earnings per share for the current year to come in below analysts' expectations. If Zwingle decides against the project, his firm will allocate his division a smaller capital budget next year. Which of these factors are appropriate for Zwingle to include in the capital allocation decision?

- A) Both of these factors are appropriate. 
- B) Neither of these factors is appropriate. 
- C) Only one of these factors is appropriate. 

Explanation

Two common capital allocation pitfalls are basing investment decisions on the change in earnings per share in the short term and considering the effects of not spending the entire capital budget available for the current period.

For Further Reference:

(Study Session 9, Module 28.3, LOS 28.e)

CFA® Program Curriculum, Volume 3, page 659

Question #93 of 180

Question ID: 1420127

Mentemeyer Corporation is a small firm that needs to increase short-term liquidity but has weak credit. The source of short-term financing that would *most likely* be available to Mentemeyer is:

- A) commercial paper.
- B) nonbank finance companies.
- C) a revolving credit agreement.

**Explanation**

Nonbank finance companies are a source of short-term financing for smaller firms and firms with lower credit ratings. Commercial paper issuance and revolving credit agreements are typically only available to larger corporations with high credit ratings.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.a)

CFA® Program Curriculum, Volume 3, page 670

Question #94 of 180

Question ID: 1420209

Which of the following fintech applications is *most likely* to use distributed ledger technology?

- A) Real-time clearing and settlement of securities trades.
- B) High-frequency trading to take advantage of intraday price discrepancies.
- C) Automated review of employees' voice communications to detect misconduct.

**Explanation**

Real-time clearing and settlement is a potential application of distributed ledger technology because it would require an identical record of transactions to be visible to multiple parties. Neither algorithmic trading nor natural language processing necessarily involves distributed ledger technology.

For Further Reference:

(Study Session 18, Module 55.1, LOS 55.d)

CFA® Program Curriculum, Volume 6, page 240

Question #95 of 180

Question ID: 1420128

While analyzing HMS Inc., Fred Browne notes that the company's liquidity as measured by its quick ratio has decreased over time while its current liabilities have remained constant. This could be explained by:

- A) a decrease in inventory.
- B) an increase in marketable securities.
- C) a decrease in accounts receivable.



Explanation

The quick ratio is defined as: (cash + marketable securities + accounts receivable) / current liabilities. If current liabilities have remained constant, cash, marketable securities, or accounts receivable must have decreased. Inventory is not included in the quick ratio.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.c)

CFA® Program Curriculum, Volume 3, page 688

Question #96 of 180

Question ID: 1420201

Compared to a normal distribution, historical returns on major asset classes in developed markets have exhibited:

- A) less frequent large positive deviations.
- B) more frequent large negative deviations.
- C) the expected frequency of large deviations.



Explanation

Historical data from global asset markets show that returns distributions exhibit negative skewness and positive excess kurtosis. Large negative deviations, and large deviations in general, have been more frequent than would be expected if returns were normally distributed.

For Further Reference:

(Study Session 17, Module 49.1, LOS 49.c)

CFA® Program Curriculum, Volume 5, page 459

Question #97 of 180

Question ID: 1420200

Which of the following pooled investments is likely to require the smallest minimum investment amount?

- A) Wrap fee account.
- B) Market neutral fund.
- C) Closed-end mutual fund.



Explanation

Closed-end mutual fund shares can be purchased for market-determined prices. Hedge funds (which include market neutral funds) and wrap fee (separately managed) accounts typically require substantial minimum investment amounts.

For Further Reference:

(Study Session 17, Module 48.2, LOS 48.f)

CFA[®] Program Curriculum, Volume 5, page 425

Question #98 of 180

Question ID: 1420134

The capital structure theory that implies an optimal capital structure employing both debt and equity is:

- A) pecking order theory.
- B) static trade-off theory.
- C) Modigliani and Miller with taxes.



Explanation

Static trade-off theory assumes that increasing debt proportions will initially reduce the weighted average cost of capital (because of tax savings), but that at some level of debt financing, increasing expected costs of financial distress will outweigh additional tax savings of greater debt issuance. Modigliani and Miller with taxes implies an optimal capital structure of 100% debt. Pecking order theory does not imply an optimal capital structure.

For Further Reference:

(Study Session 10, Module 31.2, LOS 31.d)

CFA[®] Program Curriculum, Volume 4, page 57

Question #99 of 180

Question ID: 1420123

Which of the following is *most likely* to create an incentive for senior managers to act in the best interests of shareholders?

- A) A one-tier board structure. 
- B) The threat of a hostile takeover. 
- C) A cash bonus for meeting short-term performance targets. 

Explanation

The threat of a hostile takeover, one in which senior managers are replaced, can act as a strong incentive for senior managers to act in shareholders' interests by growing the value of the company's equity shares. Companies where management has followed their own interests rather than those of shareholders can show slow growth and low return on assets and attract an outside buyer who hopes to profit from improving company operations and strategy.

For Further Reference:

(Study Session 9, Module 27.2, LOS 27.i)

CFA® Program Curriculum, Volume 3, page 626

Question #100 of 180

Question ID: 1420130

Barber Corporation has bonds outstanding with market value and par value both equal to \$30 million and a YTM of 4%. Barber's target capital structure is 25% debt, 25% preferred stock, and 50% equity. Barber's tax rate is 25%. Interest costs are tax deductible, up to a maximum of \$1.40 million per year. In evaluating a new capital project with a cost of \$20 million, which of the following is closest to the cost of debt Barber management should use for this project?

- A) 3.0%. 
- B) 3.2%. 
- C) 4.0%. 

Explanation

\$20 million in capital will require $0.25(\$20 \text{ million}) = \5 million in additional debt financing.

Total annual interest including the new debt = $4\% \times (\$30 \text{ million} + \$5 \text{ million}) = \$1.40 \text{ million}$.

Because the full amount will be tax deductible, the after-tax cost of debt of $4\% \times (1 - 0.25) = 3\%$ should be used.

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.b)

CFA® Program Curriculum, Volume 4, page 8

Question #101 of 180

Question ID: 1420132

The asset beta of a firm equals its equity beta if:

- A) the company has no debt. 
- B) the company has no equity. 
- C) the company's debt equals its equity. 

Explanation

The formula for the asset beta is:

$$\beta_{\text{asset}} = \beta_{\text{equity}} \left[\frac{1}{1 + \left(\frac{D(1-t)}{E} \right)} \right]$$

Therefore, the two betas are identical only if the company has no debt in its capital structure ($D = 0$). If the company has no debt, then the asset beta must equal the equity beta.

For Further Reference:

(Study Session 10, Module 30.2, LOS 30.f)

CFA® Program Curriculum, Volume 4, page 18

Question #102 of 180

Question ID: 1420202

Boswell is less risk-averse than Johnson. Using the same capital allocation line for Boswell and Johnson, Boswell will have:

- A) a higher risk aversion coefficient than Johnson. 
- B) steeper risk-return indifference curves than Johnson. 
- C) an optimal portfolio with a higher expected return than Johnson. 

Explanation

Compared to a more risk-averse investor, a less risk-averse investor will have a lower risk aversion coefficient, flatter risk-return indifference curves, and an optimal portfolio with greater risk and a higher expected return.

For Further Reference:

(Study Session 17, Module 49.3, LOS 49.i)

CFA® Program Curriculum, Volume 5, page 473

Question #103 of 180

Question ID: 1420124

Joanne Soto is responsible for implementing her firm's environmental, social, and governance (ESG) investing goals. Soto decides on a best-in-class approach to ESG investing. Soto will *most likely* instruct her firm's portfolio managers to use:

- A) positive screening. 
- B) full integration. 
- C) active ownership. 

Explanation

The best-in-class approach to ESG implementation is an example of positive screening. Full integration refers to including ESG factors in fundamental analysis. Active ownership is using share voting and access to company management to pursue ESG objectives.

For Further Reference:

(Study Session 9, Module 27.2, LOS 27.k)

CFA® Program Curriculum, Volume 3, page 632

Question #104 of 180

Question ID: 1420136

Archer Company produces components that sell for \$3.50 per unit. Archer has fixed financing costs of \$125,000 and fixed operating costs of \$275,000. Archer's variable costs are \$2.50 per unit. Archer will:

- A) break even if it sells 275,000 units.
- B) experience a net loss if it sells 325,000 units.
- C) earn positive net income if it sells 375,000 units.



Explanation

Archer's breakeven quantity of sales is $\frac{\$275,000 + \$125,000}{\$3.50 - \$2.50} = 400,000$ units.

Archer will experience a net loss at any quantity of sales less than 400,000.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.d)

CFA® Program Curriculum, Volume 4, page 104

Question #105 of 180

Question ID: 1419681

A firm has one actively traded bond issue outstanding, with a 6% coupon and a yield to maturity of 5%. When estimating the firm's weighted average cost of capital (WACC), the appropriate after-tax cost of debt capital is:

- A) between 5% and 6%.
- B) less than 5%.
- C) equal to 6%.



Explanation

Yield to maturity is an appropriate estimate of a firm's before-tax cost of capital. Its after-tax cost of capital may be estimated as $YTM \times (1 - \text{tax rate})$ and will be less than the before-tax cost of capital, as long as the firm faces a positive tax rate.

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.c)

CFA® Program Curriculum, Volume 4, page 9

Question #106 of 180

Question ID: 1420208

The sensitivity of a derivative's value to the price of the underlying asset is measured by the derivative's:

- A) beta.



B) delta.



C) gamma.



Explanation

Delta measures the sensitivity of a derivative's value to the price of its underlying asset. Gamma measures the sensitivity of delta to the price of the underlying asset. Beta measures the market risk of a security.

For Further Reference:

(Study Session 18, Module 53.1, LOS 53.g)

CFA® Program Curriculum, Volume 6, page 110

Question #107 of 180

Question ID: 1420133

Under Modigliani and Miller's assumptions, if taxes exist and interest costs are tax-deductible, the optimal proportion of debt in a firm's capital structure:

A) is 100%.



B) increases linearly with the tax rate.



C) depends on the costs of financial distress.



Explanation

Under Modigliani and Miller's assumptions, if taxes exist and interest costs are tax-deductible, a firm will maximize its value with a capital structure of 100% debt. Among their assumptions is that financial distress does not have a cost.

For Further Reference:

(Study Session 10, Module 31.1, LOS 31.b)

CFA® Program Curriculum, Volume 4, page 47

Question #108 of 180

Question ID: 1420137

Other things equal, a company's operating breakeven level of sales is *most likely* to increase when:

A) the tax rate is increased.



B) its scale of operations is increased.



C) fixed interest charges are increased.



Explanation

Operating breakeven is calculated as fixed operating costs divided by price minus variable costs per unit. Tax rates and interest charges do not affect the operating breakeven quantity of sales.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.e)

CFA® Program Curriculum, Volume 4, page 104

Question #109 of 180

Question ID: 1420203

The standard deviation of returns for a portfolio of risky assets is:

- A) less than the standard deviation of the least risky asset. 
- B) greater than the standard deviation of the least risky asset. 
- C) less than or equal to the standard deviation of the most risky asset. 

Explanation

The standard deviation of return of a portfolio of many risky assets can be less than or greater than the standard deviation of the least risky asset, depending on the correlations of returns among the assets and their weights in the portfolio. However, the portfolio standard deviation must be less than or equal to the standard deviation of the most risky asset.

For Further Reference:

(Study Session 17, Module 49.3, LOS 49.f)

CFA® Program Curriculum, Volume 5, page 476

Question #110 of 180

Question ID: 1420131

The cost of preferred equity in a company's capital structure is based on the relationship between a preferred share's:

- A) dividend and par value. 
- B) dividend and market price. 
- C) dividend yield and expected growth. 

Explanation

The cost of preferred equity is calculated by dividing the preferred dividend by the market price of a preferred share. Regular preferred dividends do not grow over time.

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.d)

CFA® Program Curriculum, Volume 4, page 12

Question #111 of 180

Question ID: 1420135

To choose the weights for a firm's weighted average cost of capital (WACC), an analyst would *most* prefer to use the

- A) firm's current debt and equity weights based on market value. 
- B) firm's stated target capital structure even if recent fund raising has diverged slightly from the target weights. 
- C) average debt and equity weights based on market value of the firm's competitors. 

Explanation

The analyst should use the target capital structure weighting if possible (i.e., if the firm has stated its target weights). If the targets are unstated, the analyst must estimate the weights.

For Further Reference:

(Study Session 10, Module 31.2, LOS 31.c)

CFA® Program Curriculum, Volume 4, page 54

Question #112 of 180

Question ID: 1420129

Drags on liquidity are *most likely* to include:

- A) inventory obsolescence. 
- B) paying vendors too soon. 
- C) suppliers requiring payment sooner. 

Explanation

Drags on liquidity either delay or reduce cash inflows. Obsolete inventory can be expected to sell more slowly and often will require write-downs of inventory value. Paying vendors sooner than is optimal and shorter payment periods for suppliers accelerate cash outflows and are referred to as pulls on liquidity.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.b)

CFA® Program Curriculum, Volume 3, page 680

Question #113 of 180

Question ID: 1420199

An equally weighted portfolio of five securities has a standard deviation of returns of 10%. The average standard deviation of returns of the five securities is 15%. If another security with a standard deviation of returns of 15% is added to the portfolio, and the weights are adjusted to restore equal weighting, the portfolio's diversification ratio is *most likely* to:

A) increase.



B) decrease.



C) remain unchanged.



Explanation

The diversification ratio is the standard deviation of an equally weighted portfolio's returns divided by the average standard deviation of returns of the securities in the portfolio. Adding a security with a standard deviation equal to the average will decrease the portfolio standard deviation as long as the added security's returns are not perfectly positively correlated with the portfolio's returns. The result is a lower diversification ratio, which indicates a greater benefit from diversification.

For Further Reference:

(Study Session 17, Module 48.1, LOS 48.a)

CFA® Program Curriculum, Volume 5, page 406

Question #114 of 180

Question ID: 1420138

A company with which of the following leverage measures would exhibit the least sensitivity of earnings per share to a change in sales?

Degree of operating leverage

Degree of financial leverage

- | | | |
|--------|-----|---|
| A) 1.5 | 3.0 |  |
| B) 2.0 | 2.5 |  |
| C) 2.5 | 2.0 |  |

Explanation

The degree of total leverage (DTL) measures the sensitivity of earnings per share to a change in sales. With a DOL of 1.5 and a DFL of 3.0, the DTL is $1.5 \times 3.0 = 4.5$. With DOL of 2.0 and DFL of 2.5, or with DOL of 2.5 and DFL of 2.0, the DTL would be $2.0 \times 2.5 = 5.0$.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.b)

CFA® Program Curriculum, Volume 4, page 90

Question #115 of 180

Question ID: 1420125

An appropriate way to address the effectiveness of a company's management in creating value for shareholders is to compare the company's:

- A) net profit margin to its cost of equity. 
- B) weighted average cost of capital to its return on invested capital. 
- C) total cost of debt and equity financing to its earnings before interest and taxes. 

Explanation

When the return on invested capital exceeds the weighted average cost of capital, firm management is creating value for shareholders.

For Further Reference:

(Study Session 9, Module 28.2, LOS 28.c)

CFA® Program Curriculum, Volume 3, page 654

Question #116 of 180

Question ID: 1420122

A company's corporate governance procedures, with respect to stakeholder management, are *best* described as part of its:

- A) legal infrastructure. 

B) contractual infrastructure.



C) organizational infrastructure.



Explanation

Organizational infrastructure refers to a company's corporate governance procedures and includes its internal systems and practices that address how it manages its stakeholder relationships. Legal infrastructure refers to laws that govern stakeholder relationships. Contractual infrastructure refers to contracts between a company and its stakeholders.

For Further Reference:

(Study Session 9, Module 27.1, LOS 27.d)

CFA® Program Curriculum, Volume 3, page 608

Question #117 of 180

Question ID: 1420206

The problem of investment managers taking offsetting active positions is *most likely* addressed by employing:

A) risk budgeting.



B) tactical asset allocation.



C) a core-satellite approach.



Explanation

With a core-satellite approach, a majority of the assets are invested passively (in the "core" portfolio) with a smaller proportion in actively managed "satellite" portfolios. This reduces the likelihood of excessive trading and offsetting active positions.

For Further Reference:

(Study Session 18, Module 51.1, LOS 51.g)

CFA® Program Curriculum, Volume 6, page 23

Question #118 of 180

Question ID: 1420204

Bearing unsystematic risk should provide no additional expected return:

A) under any circumstances.



B) if diversification is cost-free.



C) in a strong-form efficient market.



Explanation

The theory that bearing unsystematic risk will provide no additional expected return assumes that unsystematic risk can be diversified away at no cost.

For Further Reference:

(Study Session 17, Module 50.1, LOS 50.c)

CFA® Program Curriculum, Volume 5, page 532

Question #119 of 180

Question ID: 1420207

An investor who would only sell shares he owns for \$58 or more, but would not buy the same shares for more than \$53, is exhibiting:

A) status quo bias.



B) endowment bias.



C) conservatism bias.



Explanation

The tendency to value something already owned more than the same thing if it were not already owned is referred to as endowment bias.

For Further Reference:

(Study Session 18, Module 52.1, LOS 52.b)

CFA® Program Curriculum, Volume 6, page 50

Question #120 of 180

Question ID: 1379746

An investor buys a non-dividend paying stock for \$100 at the beginning of the year with 50% initial margin. At the end of the year, the stock price is \$95. Deflation of 2% occurred during the year. Which of the following return measures for this investment will be greatest?

A) Real return.



B) Nominal return.



C) Leveraged return.



Explanation

No calculations are needed. The real return is greater than the nominal return because the inflation rate is negative. The leveraged return is more negative than the nominal return because the investment lost value and leverage magnifies the loss.

For Further Reference:

(Study Session 17, Module 49.1, LOS 49.a)

CFA[®] Program Curriculum, Volume 5, page 442

Question #121 of 180

Question ID: 1420187

In a one-period binomial model for option pricing, the probabilities of an up-move or a down-move are:

- A) equal. 
- B) assumed by the modeler. 
- C) calculated from the model inputs. 

Explanation

Risk-neutral pseudo-probabilities are calculated using the risk-free rate and the sizes of an up-move and down-move of the underlying asset.

For Further Reference:

(Study Session 15, Module 46.4, LOS 46.n)

CFA[®] Program Curriculum, Volume 5, page 263

Question #122 of 180

Question ID: 1420162

A bond pays a quarterly coupon of 8% minus one-half of annual 90-day LIBOR. This bond is *most accurately* classified as a:

- A) leveraged instrument. 
- B) participation instrument. 
- C) yield enhancement instrument. 

Explanation

An inverse floater is classified as a leveraged instrument. The example given here is a deleveraged inverse floater because the multiplier for the reference rate is less than one.

For Further Reference:

(Study Session 13, Module 40.2, LOS 40.h)

CFA® Program Curriculum, Volume 4, page 497

Question #123 of 180

Question ID: 1420192

A leveraged buyout fund is evaluating Siena Company relative to its peer companies. Siena is *most likely* a good candidate for a management buy-in if it has:

- A) higher cash flow and less capable managers than its peers. 
- B) lower cash flow and more capable managers than its peers. 
- C) higher cash flow and more capable managers than its peers. 

Explanation

In a management buy-in, a leveraged buyout (LBO) fund replaces the existing managers of a portfolio company with a new team it believes can increase the value of the company. Companies with high cash flow are attractive candidates for LBOs because their cash flow can help service the debt issued to finance the LBO. A company with high cash flow and capable managers is a potential candidate for a management buyout (MBO), a transaction in which the managers participate and stay on after the company goes private.

For Further Reference:

(Study Session 16, Module 47.3, LOS 47.e)

CFA® Program Curriculum, Volume 5, page 321

Question #124 of 180

Question ID: 1420144

Aros Funds manages a family of mutual funds and employs a team of fundamental analysts, who research firms by analyzing financial statements and SEC filings. Under which form(s) of the efficient market hypothesis (EMH) would Aros Funds have the potential to achieve positive risk-adjusted returns consistently using fundamental analysis?

- A) Weak form only. 

B) Semistrong form and weak form. 

C) No form of the EMH is consistent with earning positive risk-adjusted returns using fundamental analysis. 

Explanation

Fundamental analysis (i.e., analysis of public non-market data) can produce positive risk-adjusted returns if markets are weak-form efficient but not semistrong-form efficient. Under the semistrong form of the EMH, fundamental analysis cannot consistently achieve positive risk-adjusted returns.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.e)

CFA® Program Curriculum, Volume 4, page 249

Question #125 of 180

Question ID: 1420147

An investor in a sponsored depository receipt (DR):

A) holds the voting rights for the DR shares. 

B) must obtain the foreign currency in which the DR is traded. 

C) should be familiar with market procedures and regulations in the DR issuer's country. 

Explanation

In a sponsored DR, voting rights of the shares are held by the investor. In an unsponsored DR, voting rights are retained by the depository bank. An advantage of DR shares over direct investments in foreign companies is that DR shares trade in the investor's domestic market and currency.

For Further Reference:

(Study Session 12, Module 36.2, LOS 36.d)

CFA® Program Curriculum, Volume 4, page 285

Question #126 of 180

Question ID: 1420168

Which of the following mortgage-backed securities is *most likely* to feature credit tranching?

A) Collateralized mortgage obligations. 

B) Commercial mortgage-backed securities.



C) Agency residential mortgage-backed securities.



Explanation

Commercial mortgage-backed securities often feature credit tranching in which subordinated tranches are the first to absorb credit losses. Sequential-pay CMOs employ time tranching in which all principal payments flow to Tranche 1 up to its principal amount, then to Tranche 2 up to its principal amount, and so on. Agency RMBS are pass-through securities and do not feature credit tranching or time tranching.

For Further Reference:

(Study Session 13, Module 42.1, LOS 42.c)

CFA® Program Curriculum, Volume 4, page 595

Question #127 of 180

Question ID: 1420161

With respect to fixed income markets, the "grey market" refers to trading in:

A) bearer bonds.



B) bonds that have not yet been issued.



C) bonds that were issued in private placements.



Explanation

"Grey market" refers to trading of bonds on a when-issued basis.

For Further Reference:

(Study Session 13, Module 40.1, LOS 40.c)

CFA® Program Curriculum, Volume 4, page 475

Question #128 of 180

Question ID: 1420154

Ian Goode, CFA, is analyzing the price of the preferred stock of MegaGym. Goode estimates that MegaGym's earnings growth rate over the next five years will be 20%, and that MegaGym's earnings will then grow at a sustainable rate of 5%. The *most appropriate* method for Goode to value MegaGym's preferred stock is to:

A) use a justified price-to-earnings multiple.



- B) use a multistage dividend discount model with 20% growth for five years and 5% thereafter. 
- C) divide the preferred dividend by the required rate of return on MegaGym's preferred stock. 

Explanation

The value of preferred stock is the preferred dividend divided by the required rate of return on the preferred. Earnings growth rates do not factor into the valuation of preferred stock since the dividend is typically fixed. Therefore, neither a historical price-to-earnings model nor a multistage dividend discount model is appropriate.

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.f)

CFA® Program Curriculum, Volume 4, page 373

Question #129 of 180

Question ID: 1420179

Roland Carlson owns a portfolio of large capitalization stocks. Carlson has a positive long-term outlook for the stock market, but would like to protect his portfolio from any sudden declines in the stock market, without selling his holdings. The *most likely* way for Carlson to achieve his objective of limiting the downside risk of his portfolio is to:

- A) sell put options on the S&P 500. 
- B) sell an S&P 500 futures contract. 
- C) buy an S&P 500 forward contract. 

Explanation

Losses on Carlson's portfolio of large cap stocks can be offset by gains on a short position in a futures contract. (Gains on the portfolio would be offset by futures losses.) He could also *buy* put options on the S&P 500. A long position in an S&P 500 forward contract would not offer any downside protection.

For Further Reference:

(Study Session 15, Module 45.1, LOS 45.c)

CFA® Program Curriculum, Volume 5, page 158

Question #130 of 180

Question ID: 1420166

Which of the following forward rates can be used to construct a forward yield curve?

- A) 1-year and 2-year forward rates one year from now. 
- B) 1-year forward rates one year and two years from now. 
- C) 1-year forward rate one year from now and 2-year forward rate two years from now. 

Explanation

A forward yield curve is composed of forward rates of the same tenor at different future periods.

For Further Reference:

(Study Session 13, Module 41.4, LOS 41.i)

CFA® Program Curriculum, Volume 4, page 550

Question #131 of 180

Question ID: 1420149

Industry rotation is *best* described as:

- A) adjusting the industry weights in a portfolio based on the current stage of the business cycle. 
- B) a recommended practice of periodically changing the industries that investment analysts are assigned to cover. 
- C) the long-term trend of talented managers and employees exiting mature and declining industries and entering embryonic and growth industries. 

Explanation

Industry rotation is an active management strategy of overweighting or underweighting industries, compared to their strategic allocation weights, based on the stage of the business cycle.

For Further Reference:

(Study Session 12, Module 37.1, LOS 37.a)

CFA® Program Curriculum, Volume 4, page 308

Question #132 of 180

Question ID: 1420189

An alternative investment partnership with a 2-and-20 fee structure has increased in value each period and earned a return of 8% net of management fees in 20x7. Under which of the following provisions would incentive fees for 20x7 be the highest?

- A) 5% hard hurdle rate and a high water mark provision. 
- B) 6% soft hurdle rate and a high water mark provision. 
- C) 7% hard hurdle rate and no high water mark provision. 

Explanation

With a soft hurdle rate, the incentive fee is a percentage of the entire return once the hurdle rate is met. With a hard hurdle rate, the incentive fee is a percentage of return in excess of the hurdle rate. A high water mark does not affect the incentive fee for an account that has increased in value each period. A soft hurdle rate would result in incentive fees of $20\% \times 8\% = 1.6\%$ of assets; a 5% hard hurdle rate would result in incentive fees of $20\% \times (8\% - 5\%) = 0.6\%$ of assets; and a 7% hard hurdle rate would result in incentive fees of $20\% \times (8\% - 7\%) = 0.2\%$ of assets.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #133 of 180

Question ID: 1420160

Contingent convertible bonds are described *most accurately* as those which, if a specified event occurs:

- A) become convertible to equity. 
- B) convert automatically to equity. 
- C) increase the equity conversion ratio. 

Explanation

Contingent convertible bonds are converted automatically to common stock if a specified event occurs.

For Further Reference:

(Study Session 13, Module 39.2, LOS 39.f)

CFA® Program Curriculum, Volume 4, page 448

Question #134 of 180

Question ID: 1420146

Sacco, Inc., has nine directors on its board. Three seats are elected annually using a cumulative voting system. An investor who owns 600 shares of Sacco common stock may give a maximum of:

A) 600 votes to a single board candidate.



B) 1,800 votes to a single board candidate.



C) 600 votes to a candidate for each board seat.



Explanation

Under cumulative voting, with three board seats up for election, the shareholder can cast up to 1,800 votes for one candidate. In a statutory voting system, an investor who holds 600 shares can cast 600 votes in the election for each seat.

For Further Reference:

(Study Session 12, Module 36.1, LOS 36.b)

CFA® Program Curriculum, Volume 4, page 277

Question #135 of 180

Question ID: 1420142

Which of the following types of index is *least likely* to require frequent reconstitution of constituent securities?

A) Equity index.



B) Commodity index.



C) Fixed income index.



Explanation

Equity indexes typically require reconstitution only in response to corporate events, such as mergers or bankruptcies. Commodity indexes, which use futures contracts as their constituent securities, and fixed income indexes require frequent reconstitution as futures contracts expire and bonds mature.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.j)

CFA® Program Curriculum, Volume 4, page 219

Question #136 of 180

Question ID: 1420169

A synthetic collateralized debt obligation is backed by a portfolio of:

- A) credit default swaps.
- B) structured securities.
- C) bonds and other CDOs.



Explanation

Synthetic CDOs have portfolios of credit default swaps as the underlying collateral.

For Further Reference:

(Study Session 13, Module 42.2, LOS 42.i)

CFA® Program Curriculum, Volume 4, page 628

Question #137 of 180

Question ID: 1420185

The time value of a put option on an asset that provides no cash flows would *most likely* be increased by:

- A) an increase in the exercise price.
- B) an increase in the asset's price volatility.
- C) a decrease in the value of the underlying asset.



Explanation

An increase in volatility will increase the value of a put option but will not change its intrinsic value, so it is the time value that increases. Changes in the exercise price or the value of the underlying asset will change an option's intrinsic or exercise value.

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.k)

CFA® Program Curriculum, Volume 5, page 248

Question #138 of 180

Question ID: 1420190

Compared to traditional investments, alternative investments are *least likely* to exhibit:

- A) higher fees.
- B) less manager specialization.



C) more concentrated portfolios.



Explanation

Compared to traditional investments, alternative investments exhibit greater manager specialization, more concentrated portfolios, and higher average fees.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.a)

CFA® Program Curriculum, Volume 5, page 289

Question #139 of 180

Question ID: 1420153

An investor places a market order to buy a stock on the holder-of-record date for the stock's next dividend. Is the investor entitled to receive this dividend?

A) No, because the order is placed after the declaration date.



B) No, because the order is settled after the holder-of-record date.



C) Yes, because the order is executed on the holder-of-record date.



Explanation

To receive the next dividend, an investor must buy a stock before its ex-dividend date, which is one or two business days before the holder-of-record date. This one- or two-day period allows orders executed before the ex-dividend date to be settled by the holder-of-record date. The buyer would be entitled to the dividend if the order was executed after the declaration date but before the ex-dividend date.

For Further Reference:

(Study Session 12, Module 38.1, LOS 38.c)

CFA® Program Curriculum, Volume 4, page 366

Question #140 of 180

Question ID: 1420175

Ann Lloyd, CFA, observes that a 3-year senior unsecured bond of Hawk, Inc. has a rating of Baa3/BBB- and a 3-year senior unsecured bond of Osprey, Inc. has a rating of Ba1/BB+. Based only on this information, Lloyd can *most appropriately* conclude that:

A) credit risk is greater for the Osprey bond than for the Hawk bond.



B) loss severity is greater for the Osprey bond than for the Hawk bond.



- C) the Hawk bond is investment grade and the Osprey bond is non-investment grade.



Explanation

The classifications "investment grade" and "non-investment grade" are based on ratings from recognized credit rating agencies. Bonds rated Baa3/BBB- or higher are classified as investment grade, while bonds rated Ba1/BB+ or lower are classified as non-investment grade. However, an analyst should not rely exclusively on credit ratings to draw conclusions about the credit risk or loss severity of bond investments.

For Further Reference:

(Study Session 14, Module 44.1, LOS 44.e)

CFA® Program Curriculum, Volume 5, page 82

Question #141 of 180

Question ID: 1420193

Because of biases in return measurements, hedge fund data are *most likely* to:

- A) overstate returns and overstate risk.
- B) overstate returns and understate risk.
- C) understate returns and overstate risk.



Explanation

Survivorship bias in hedge fund returns contributes to overstatement of performance. Asset valuations based on models and appraisals contribute to understatement of risk.

For Further Reference:

(Study Session 16, Module 47.3, LOS 47.e)

CFA® Program Curriculum, Volume 5, page 321

Question #142 of 180

Question ID: 1420151

In the industry life cycle model, the threat of new entry into an industry is greatest during the:

- A) mature stage.
- B) growth stage.



C) embryonic stage.



Explanation

New competitors are most likely to enter an industry during the growth stage of the industry life cycle. New entrants are less of a threat in the embryonic stage, when growth is slow and customer acceptance of the new product or service is highly uncertain. In the mature stage, the industry tends toward an oligopoly as competitors consolidate.

For Further Reference:

(Study Session 12, Module 37.2, LOS 37.i)

CFA® Program Curriculum, Volume 4, page 332

Question #143 of 180

Question ID: 1420156

An analyst develops the following information to value a common stock.

- Last year's earnings per share = \$4.00
- Real risk-free rate = 4%
- Inflation premium = 5%
- Return on equity (ROE), expected to remain constant in the future = 10%
- Dividend payout, expected to remain stable in the future = 30%
- Stock's beta = 1.4
- Expected market return = 14%

The value per share is *closest* to:

A) \$14.39.



B) \$21.28.



C) \$31.39.



Explanation

$$\text{RFR}_{\text{nominal}} = (1 + \text{RFR}_{\text{real}})(1 + \text{IP}) - 1 = (1.04)(1.05) - 1 = 1.0920 - 1 = 0.0920 = 9.20\%$$

$$\begin{aligned} \text{Using the CAPM, the required rate of return } (k_e) &= \text{RFR}_{\text{nominal}} + \beta(\text{R}_{\text{mkt}} - \text{RFR}_{\text{nominal}}) \\ &= 9.20\% + 1.4(14.0\% - 9.2\%) = 9.20\% + 6.72\% = 15.92\% \end{aligned}$$

$$\text{The retention ratio (RR)} = 1 - \text{dividend payout ratio} = 1 - 0.30 = 0.70$$

$$\text{The growth rate } (g_c) = (\text{RR})(\text{ROE}) = (0.70)(10\%) = 7.00\%$$

$$D_0 = E_0(\text{dividend payout}) = \$4.00(0.30) = \$1.20$$

$$\text{Next year's dividend } (D_1) = D_0(1 + g_c) = \$1.20(1 + 0.07) = 1.284$$

$$P_0 = D_1 / (k_e - g) = 1.284 / (0.1592 - 0.07) = 14.39$$

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.j)

CFA® Program Curriculum, Volume 4, page 385

Question #144 of 180

Question ID: 1420164

Bond X and Bond Y were issued at a premium to par value three years ago. Bond X matures in five years, and Bond Y matures in ten years. Both bonds carry the same credit rating. Bond X has a coupon of 7.25%, and Bond Y has a coupon of 8.00%. If the yield to maturity for both bonds is 7.60% today:

- A) both bonds are priced at a premium. 
- B) Bond X is priced at a premium, and Bond Y is priced at a discount. 
- C) Bond X is priced at a discount, and Bond Y is priced at a premium. 

Explanation

Because Bond X has a coupon rate that is below the required yield, it will trade at a discount to par. Bond Y, with a coupon rate greater than the required yield, will trade at a premium to par. The fact that both bonds were issued at premiums does not matter, nor does the difference in time to maturity.

For Further Reference:

(Study Session 13, Module 41.1, LOS 41.a)

CFA® Program Curriculum, Volume 4, page 518

Question #145 of 180

Question ID: 1420186

An investor uses options on a stock to create a synthetic short position in a risk-free bond that will pay the exercise price at option expiration. To create this position, the investor will buy:

A) a put option.



B) a call option.



C) the underlying stock.



Explanation

Using the put-call parity relationship, a synthetic short position in a risk-free bond that pays the exercise price at expiration can be created by buying a call, writing a put, and taking a short position in the stock.

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.I)

CFA® Program Curriculum, Volume 5, page 258

Question #146 of 180

Question ID: 1420140

Kate Johnson, CFA, owns shares of a stock that currently trades at \$15. If Johnson wants to buy more shares if the price increases to \$17, she should enter a:

A) stop buy order at \$17.



B) limit order to buy at \$17.



C) market order to buy at \$17.



Explanation

An order to buy if a price increases to a specified level is a stop buy order. A limit order at \$17 will execute immediately if the market price is \$15. A market order does not specify a price, but is executed at the prevailing market price.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.h)

CFA® Program Curriculum, Volume 4, page 161

Question #147 of 180

Question ID: 1420194

A commodity market is in contango if the spot price is:

A) higher than futures prices.



B) equal to futures prices.



C) lower than futures prices.



Explanation

A commodity market is contango if the futures price is higher than the spot price.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.f)

CFA® Program Curriculum, Volume 5, page 334

Question #148 of 180

Question ID: 1420159

A waterfall structure in a securitized bond issue:

A) is a form of external credit enhancement.



B) allows the entire issue to obtain a better credit rating.



C) gives some bondholders a higher priority of claims than others.



Explanation

In a securitized bond issue with a waterfall structure, the bonds are issued in tranches with varying levels of seniority. Any losses arising from the underlying assets are absorbed first by the tranches with the lowest seniority. Thus, tranches have different levels of default risk and therefore are likely to have different credit ratings. The structure is a form of internal credit enhancement.

For Further Reference:

(Study Session 13, Module 39.1, LOS 39.d)

CFA® Program Curriculum, Volume 4, page 432

Question #149 of 180

Question ID: 1420181

A put option with an exercise price of \$75 sells for a premium of \$10. At expiration, the put buyer may experience a loss:

A) of as much as \$10.



B) of as much as \$65.



C) that is theoretically unlimited.



Explanation

The greatest loss a put buyer can experience is the premium paid. If the price of the underlying asset decreased to zero, the put *writer* would experience a loss of $(\$0 - \$75) + \$10 = -\65 .

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.d)

CFA® Program Curriculum, Volume 5, page 170

Question #150 of 180

Question ID: 1420172

Chris Renburg owns the following portfolio of option-free bonds:

Par value	Full price	Duration
\$3,000,000	\$2,400,000	4.625
\$3,500,000	\$3,600,000	7.322
<u>\$1,500,000</u>	<u>\$1,200,000</u>	9.300
\$8,000,000	\$7,200,000	

The duration of Renburg's bond portfolio is *closest* to:

- A) 6.6. 
- B) 6.8. 
- C) 7.0. 

Explanation

Portfolio duration is the weighted average of component securities, using full prices:

$$(2,400,000 / 7,200,000) \times 4.625 + (3,600,000 / 7,200,000) \times 7.322 + (1,200,000 / 7,200,000) \times 9.3 = 6.753.$$

For Further Reference:

(Study Session 14, Module 43.2, LOS 43.f)

CFA® Program Curriculum, Volume 5, page 32

Question #151 of 180

Question ID: 1420148

The *most likely* reason that a company's book value of equity and the market value of its equity securities may be different is that:

- A) market value of equity securities includes preferred stock, but the book value of equity does not. 
- B) the issuance of new equity will increase the book value of equity, but will not affect the share price. 
- C) the market value of equity securities reflects investor expectations about future performance, but book value of equity does not. 

Explanation

The market value of equity securities is affected by investor expectations about future firm performance, while the book value of equity is based on the firm's past performance. The book value of equity includes both common and preferred equity. The issuance of new equity will increase the market value of equity, even if the share price is unaffected.

For Further Reference:

(Study Session 12, Module 36.2, LOS 36.g)

CFA® Program Curriculum, Volume 4, page 293

Question #152 of 180

Question ID: 1420152

A firm attempts to gain market share from its competitors by improving its manufacturing efficiency so that it can increase output and reduce the price of its product. This firm's competitive strategy is *most accurately* described as:

- A) an offensive differentiation strategy. 
- B) an offensive cost leadership strategy. 
- C) a defensive cost leadership strategy. 

Explanation

Cost leadership is a competitive strategy in which a firm attempts to become the lowest-cost producer in the industry. This will enable the firm to offer lower prices than its competitors. A differentiation strategy involves making a product distinctive compared to competing products so that customers will be willing to pay a premium price. A competitive strategy is described as defensive if it is used to maintain a firm's market share and offensive if it is used to gain market share.

For Further Reference:

(Study Session 12, Module 37.2, LOS 37.I)

CFA® Program Curriculum, Volume 4, page 346

Question #153 of 180

Question ID: 1420163

Which of the following sources of short-term funding for banks is *most likely* to have the lowest interest cost?

- A) Interbank funds.
- B) Checking deposits.
- C) Central bank funds.

**Explanation**

Typically, banks do not pay interest on customer checking account deposits. A bank that borrows in either the central bank funds market or the interbank market incurs interest costs.

For Further Reference:

(Study Session 13, Module 40.2, LOS 40.i)

CFA® Program Curriculum, Volume 4, page 500

Question #154 of 180

Question ID: 1420180

A characteristic that distinguishes derivatives from ETFs is that derivatives:

- A) transform the performance of their underlying assets.
- B) are contingent claims on the performance of their underlying assets.
- C) derive their performance from the performance of their underlying assets.

**Explanation**

Derivatives typically transform the performance of their underlying assets, in contrast with passing the performance of the underlying assets through to the investor in the manner of mutual funds or ETFs. Mutual funds and ETFs, as well as derivatives, derive their performance from the performance of their underlying assets. Derivatives may be contingent claims or forward commitments.

For Further Reference:

(Study Session 15, Module 45.1, LOS 45.b)

CFA® Program Curriculum, Volume 5, page 149

Question #155 of 180

Question ID: 1420195

The indexing method for evaluating the performance of real estate that will *most likely* exhibit the lowest standard deviation of returns is:

A) a REIT index.



B) an appraisal index.



C) a repeat-sales index.



Explanation

An appraisal index uses prices from a model, so that price changes are smoothed over time relative to those that are based on actual transactions, for the properties themselves in the case of a repeat-sales index, and on actual market prices of shares in the case of an REIT index.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.g)

CFA® Program Curriculum, Volume 5, page 350

Question #156 of 180

Question ID: 1420173

Which of the following bonds is *most likely* to have the greatest convexity at a yield to maturity of 3.5%?

A) 2-year, 3% coupon bond.



B) 5-year, 4% coupon bond.



C) 10-year, zero-coupon bond.



Explanation

Other things equal, convexity is greater for bonds with longer maturities and lower coupon rates.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.h)

CFA® Program Curriculum, Volume 5, page 36

Question #157 of 180

Question ID: 1420177

Yield spreads are *most likely* to widen in a market environment that exhibits:

- A) slowing economic growth. 
- B) high GDP growth rates. 
- C) lower-than-normal supply of new bond issuance. 

Explanation

Slowing economic growth reduces firm profitability and creditworthiness and causes yield spreads to widen. Higher-than-normal supply of new bonds can cause yield spreads to widen. Yield spreads tend to narrow during expansions when GDP growth rates are high.

For Further Reference:

(Study Session 14, Module 44.2, LOS 44.i)

CFA[®] Program Curriculum, Volume 5, page 105

Question #158 of 180

Question ID: 1420141

A securities exchange is structured as a call market. On that exchange, a stock would trade at:

- A) any time the market is open. 
- B) one negotiated price that clears the market. 
- C) prices set by auction or by dealer bid-ask quotes. 

Explanation

In a call market, stocks trade at specific times at one price that clears the market for the stock. In continuous markets, trades occur at any time the market is open at prices set by auction or by dealer quotes.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.j)

CFA[®] Program Curriculum, Volume 4, page 171

Question #159 of 180

Question ID: 1420157

Enterprise value is *most accurately* interpreted as the:

- A) cost to take over a firm. 
- B) fair market value of a firm's equity. 

C) market value of a firm's equity plus the market value of its debt.



Explanation

Enterprise value equals the market value of a firm's common stock and debt minus its cash and short-term securities. Enterprise value is interpreted as the amount that would be needed to take over a firm.

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.k)

CFA® Program Curriculum, Volume 4, page 394

Question #160 of 180

Question ID: 1420191

The period of time during which a private capital fund will select investments and direct committed capital to them is *best* described as a:

A) notice period.



B) lockup period.



C) drawdown period.



Explanation

The drawdown period for a private equity fund is the span of time over which the fund will draw down its committed capital and use it to invest in portfolio companies. Lockup periods and notice periods are related to hedge fund redemptions.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #161 of 180

Question ID: 1420167

Kathy Hurst, CFA, is valuing a 4-year zero coupon security and has acquired the following information:

1-year spot rate	6.0%
4-year spot rate	7.5%
1-year forward rate 1 year from now	7.3%
1-year forward rate 3 years from now	8.9%

The 1-year forward rate 2 years from now is *closest* to:

A) 7.3%.



B) 7.8%.



C) 8.0%.



Explanation

$$\begin{aligned}(1 + S_4)^4 &= (1 + S_1) (1 + 1y1y) (1 + 2y1y) (1 + 3y1y) \\ (1.075)^4 &= (1.06) (1.073) (1 + 2y1y) (1.089) \\ 1 + 2y1y &= 0.078\end{aligned}$$

For Further Reference:

(Study Session 13, Module 41.4, LOS 41.j)

CFA® Program Curriculum, Volume 4, page 550

Question #162 of 180

Question ID: 1420184

Which of the following is *least likely* a pure arbitrage strategy?

A) Selling a forward contract and buying the underlying asset.



B) Borrowing at 1-year LIBOR and buying a 5-year Treasury bond.



C) Borrowing at 30-day LIBOR, lending at 90-day LIBOR, and buying a 30-day FRA on 60-day LIBOR.



Explanation

Borrowing at a short rate to buy a longer-dated bond exposes the investor to risk from changes in the borrowing rate.

With favorable pricing, selling a forward and buying and storing the underlying asset could generate a riskless profit when the asset is delivered for the forward price.

Borrowing at 30-day LIBOR lending at 90-day LIBOR creates the equivalent of a short position in a 30-day FRA on 60-day LIBOR. If the rate on the long 30-day FRA (promise to borrow) is lower than the implicit rate on the synthetic short position (promise to lend), the portfolio will generate a riskless profit.

For Further Reference:

(Study Session 15, Module 46.2, LOS 46.f)

CFA® Program Curriculum, Volume 5, page 239

Question #163 of 180

Question ID: 1420150

James Martindale, CFA, manages a small mutual fund specializing in defensive stocks. For this fund, Martindale will buy stocks with:

- A) high beta. 
- B) low systematic risk. 
- C) low price-to-earnings ratios. 

Explanation

Defensive stocks (with low betas and low systematic risk) are less sensitive to economic cycles. A high beta stock is a cyclical stock. Stocks with low P/E ratios are value stocks.

For Further Reference:

(Study Session 12, Module 37.1, LOS 37.c)

CFA® Program Curriculum, Volume 4, page 309

Question #164 of 180

Question ID: 1420145

In an informationally efficient capital market, a portfolio manager who follows an active investment strategy is *most likely* to:

- A) outperform a passive index strategy on average over time. 
- B) underperform a passive index strategy on average over time. 

C) earn the same net return over time as a passive index strategy.



Explanation

In an informationally efficient market, prices are unbiased estimates of securities' intrinsic values. Therefore, active management cannot consistently generate positive risk-adjusted returns compared to a passive index strategy. Because transactions costs reduce its net return, an active strategy underperforms a passive index strategy on average over time.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.a)

CFA® Program Curriculum, Volume 4, page 237

Question #165 of 180

Question ID: 1420183

For an underlying asset with no holding costs or benefits, the no-arbitrage forward price equals:

A) the spot price.



B) the future value of the spot price.



C) zero at initiation of a forward contract.



Explanation

With no costs or benefits to holding the underlying asset, the no-arbitrage forward price is the future value of the spot price, compounded at the risk-free rate over the term of a forward contract.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.d)

CFA® Program Curriculum, Volume 5, page 234

Question #166 of 180

Question ID: 1420174

Effective duration is the *most appropriate* measure of interest rate risk when:

A) a bond's credit rating may change significantly.



B) the investor is seeking to minimize a duration gap.



C) the path of interest rate changes affects a bond's cash flows.



Explanation

For bonds with future cash flows that depend on the path of interest rate changes, such as those with embedded options, effective duration is the most appropriate measure of interest rate risk. A duration gap relative to an investor's horizon is measured using Macaulay duration. The effect of rating changes may be estimated using credit duration.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.k)

CFA® Program Curriculum, Volume 5, page 45

Question #167 of 180

Question ID: 1420178

A bond indenture states that the source of funds for repayment will be tolls paid by drivers using a highway constructed with the bond proceeds. This bond is *most likely* a:

A) secured bond.



B) revenue bond.



C) quasi-government bond.



Explanation

Revenue bonds are municipal bonds that will be repaid from revenues generated by a specific project such as a toll road. Secured bonds have specific assets pledged as collateral. Quasi-government entities are agencies created by sovereign governments.

For Further Reference:

(Study Session 14, Module 44.2, LOS 44.j)

CFA® Program Curriculum, Volume 5, page 112

Question #168 of 180

Question ID: 1420170

A collateralized mortgage obligation with agency RMBS as the collateral is *least likely* to be created to offer securities with less:

A) default risk than the underlying RMBS.



B) extension risk than the underlying RMBS.



C) prepayment risk than the underlying RMBS.



Explanation

Agency CMOs are created to reappportion prepayment risk, which includes extension and contraction risk. Agency CMOs have little or no default risk because they are backed by the government or by GSEs.

For Further Reference:

(Study Session 13, Module 42.2, LOS 42.e)

CFA® Program Curriculum, Volume 4, page 604

Question #169 of 180

Question ID: 1420158

Jim Boo, CFA, is analyzing Justin Corp., a maker of home appliances. Boo's research provides the following facts:

- Justin's stock price is \$60 per share.
- Expected growth rate of dividends is 5%.
- Expected retention ratio is 60%.
- Required rate of return is 10%.

Justin's expected price to earnings ratio (P_0/E_1) is *closest* to:

A) 8.0x.



B) 10.0x.



C) 12.0x.



Explanation

$$\frac{P_0}{E_1} = \frac{D_1/E_1}{k-g} = \frac{1-0.6}{0.1-0.05} = 8$$

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.j)

CFA® Program Curriculum, Volume 4, page 385

Question #170 of 180

Question ID: 1420197

Measures of downside risk such as the Sortino ratio are *most likely* to be more appropriate than standard deviation for measuring risk of a:

- A) macro strategy fund.
- B) real estate investment trust.
- C) commodity exchange-traded fund.



Explanation

Downside risk measures may be more appropriate than standard deviation for estimating risk of hedge funds, which often have leptokurtic and negatively skewed returns distributions. Standard deviation is typically an appropriate risk measure for publicly traded securities such as REITs and ETFs.

For Further Reference:

(Study Session 16, Module 47.5, LOS 47.i)

CFA® Program Curriculum, Volume 5, page 375

Question #171 of 180

Question ID: 1420188

The right to exercise an option prior to expiration is *most likely* to have value for:

- A) a deep in-the-money call option on an asset with no cash flows.
- B) an at-the-money put option on an asset with positive cash flows.
- C) an at-the-money call option on an asset with positive cash flows.



Explanation

It may be valuable to exercise a call option before expiration when the underlying asset makes cash distributions (pays dividend or interest payments). The cash distribution will decrease the price of the underlying asset, decreasing the call value on the date of an interest payment or the ex-dividend date for a dividend payment.

For Further Reference:

(Study Session 15, Module 46.4, LOS 46.o)

CFA® Program Curriculum, Volume 5, page 248

Question #172 of 180

Question ID: 1420143

A given percentage change in one of the 30 stocks in the Dow Jones Industrial Average (DJIA) will have the greatest impact on the DJIA for which index stock?

- A) The one whose total equity has the highest market value. 
- B) The one whose stock trades at the highest dollar price per share. 
- C) The one having the greatest amount of equity in its capital structure. 

Explanation

The Dow Jones Industrial Average is a price-weighted index. If each of its stocks changes by the same percentage, the stock with the largest impact on the index will be the one with the highest price per share.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.k)

CFA® Program Curriculum, Volume 4, page 213

Question #173 of 180

Question ID: 1420176

Bond X carries a rating of BBB-/Baa3. Bond Y has a rating of B/B2. Both bonds mature in 10 years. Which bond's value would be *most* affected by a ratings downgrade, and which bond has the higher default risk?

- A) Bond X would be more affected by a ratings downgrade, but Bond Y has higher default risk. 
- B) Bond Y would be more affected by a ratings downgrade, but Bond X has higher default risk. 
- C) Bond X has higher default risk, but both bonds would experience similar effects of a ratings downgrade. 

Explanation

Bond X carries the lowest investment grade rating. If it is downgraded, it will fall to a speculative rating, and many investors will be restricted from owning it. A downgrade would therefore have a more significant impact on Bond X. Bond Y carries a speculative rating that implies more risk of default than the higher rated Bond X.

For Further Reference:

(Study Session 14, Module 44.1, LOS 44.a)

CFA® Program Curriculum, Volume 5, page 70

Question #174 of 180

Question ID: 1420139

An investor purchased a stock for \$60 a share using margin from his broker. If the initial margin requirement is 40%, and the maintenance margin requirement is 20%, a margin call will initially be triggered below a share price of:

A) \$30.



B) \$45.



C) \$48.



Explanation

$$\text{Margin call price} = P_0 \left(\frac{1 - \text{initial margin}\%}{1 - \text{maintenance margin}\%} \right) = \$60 \left(\frac{1 - 0.40}{1 - 0.20} \right) = \$60 (0.75) = \$45$$

For Further Reference:

(Study Session 11, Module 33.2, LOS 33.f)

CFA® Program Curriculum, Volume 4, page 158

Question #175 of 180

Question ID: 1420198

Arkex Funds is a hedge fund with a value of \$100 million at the beginning of the year. Arkex Funds charges a 2.0% management fee based on assets under management at the beginning of the year and a 20.0% incentive fee with a 5.0% hard hurdle rate. Incentive fees are calculated net of management fees. The value of the fund at the end of the year before fees is \$110 million. The net return to investors is *closest* to:

A) 6.8%.



B) 7.4%.



C) 8.0%.



Explanation

Management fee = \$100 million × 2.0% = \$2.0 million

Incentive fee = [\$110 million – \$100 million – \$2 million – (\$100 million × 5.0%)] × 20% = \$0.6 million

Total fee = \$2.0 million + \$0.6 million = \$2.6 million

End-of-year value after fees = \$110.0 – \$2.60 = \$107.4 million

Net return = (\$107.4 million / \$100.0 million) – 1 = 7.4%.

For Further Reference:

(Study Session 16, Module 47.5, LOS 47.j)

CFA® Program Curriculum, Volume 5, page 387

Question #176 of 180

Question ID: 1420182

An investor buys an October 80 put option on a stock for a premium of \$5. On the expiration date the stock price is 78 per share. The investor's gain or loss on the option is:

- A) a loss of \$2.
- B) a loss of \$3.
- C) a gain of \$2.



Explanation

The intrinsic value of a put is the greater of zero or the difference between the exercise price and the stock price if stock price. This option is in the money by $80 - 78 = 2$. The gain or loss is equal to the intrinsic value minus the premium paid: $2 - 5 = -3$.

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.d)

CFA® Program Curriculum, Volume 5, page 170

Question #177 of 180

Question ID: 1420171

An investor buys an annual pay, 4% coupon bond for 102. The trade will settle immediately after the annual coupon payment and the bond has five years left to maturity. The investor sells the bond two years later for 101.5. The investor's holding period return on the bond includes:

A) a capital loss.



B) a capital gain.



C) neither a capital loss nor gain.



Explanation

The yield to maturity at the time of purchase is:

$$N = 5; PV = -102; PMT = 4; FV = 100; CPT I/Y = 3.5563\%.$$

The bond's constant-yield price two years later is:

$$N = 3; I/Y = 3.5563; PMT = 4; FV = 100; CPT PV = -101.24.$$

Because the price is greater than the constant-yield price, the investor has a capital gain on the sale.

For Further Reference:

(Study Session 14, Module 43.1, LOS 43.a)

CFA® Program Curriculum, Volume 5, page 7

Question #178 of 180

Question ID: 1420165

Gerald Snow is a bond manager for Long Vision Investments. Snow is evaluating potential arbitrage opportunities. He has the following list of bonds:

- Bond X is a 1-year zero coupon bond selling at 950.
- Bond Y is a 2-year zero coupon bond selling at 850.
- Bond Z is a 2-year bond with an annual coupon of 8%.

All three bonds have a par value of \$1,000. If no arbitrage opportunity exists, the price of Bond Z is *closest* to:

A) \$975.



B) \$995.



C) \$1,015.



Explanation

Bond X = $1000 / 950 = 1.0526$; Bond Y = $1000 / 850 = 1.1765$

$80 / (1.0526) = 76$; $1080 / (1.1765) = 917.98$

Bond Z = $76 + 917.98 = 993.98 \approx 995$

The arbitrage-free valuation approach applies time-appropriate spot interest rates to each cash flow of the bond.

For Further Reference:

(Study Session 13, Module 41.2, LOS 41.c)

CFA® Program Curriculum, Volume 4, page 527

Question #179 of 180

Question ID: 1420196

A long-only commodity investment is *most likely* to:

A) perform poorly in inflationary periods.



B) have a high correlation with equity returns.



C) be implemented by using derivatives.



Explanation

Investment in commodities is most frequently implemented using derivatives. Among the important motivations for investing in commodities are that they can serve as an inflation hedge and that their returns typically have a low correlation with equity and bond returns.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.f)

CFA® Program Curriculum, Volume 5, page 334

Question #180 of 180

Question ID: 1420155

Larry Rile is evaluating the investment merits of Bing Corp., a successful motorcycle manufacturer. Rile is forecasting a dividend in year 1 of \$1.50 per share, a dividend in year 2 of \$3.00 per share, and a dividend in year 3 of \$4.50 per share. After year 3, Rile expects dividends to grow at the rate of 6% per year. Rile calculates a beta of 1.3 for Bing. Rile expects the S&P 500 index to return 8%. The U.S. Treasury bill is yielding 2%. Using the multistage dividend discount model, Bing's intrinsic value is *closest* to:

A) \$92 per share.



B) \$102 per share.



C) \$112 per share.



Explanation

$$D1 = 1.50$$

$$D2 = 3.00$$

$$D3 = 4.50$$

$$g = 0.06$$

$$\text{required return} = \text{RFR} + \beta(R_m - \text{RFR})$$

$$\text{required return} = 0.02 + 1.3(0.08 - 0.02) = 0.098$$

$$P_3 = \frac{4.50 \times 1.06}{0.098 - 0.06} = \frac{4.77}{0.038} = 125.53$$

$$V = \frac{1.50}{1.098} + \frac{3.00}{(1.098)^2} + \frac{4.50 + 125.53}{(1.098)^3} = 102.08$$

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.g)

CFA[®] Program Curriculum, Volume 4, page 375